london transport museum

YEARBOOK
2015 | 2016



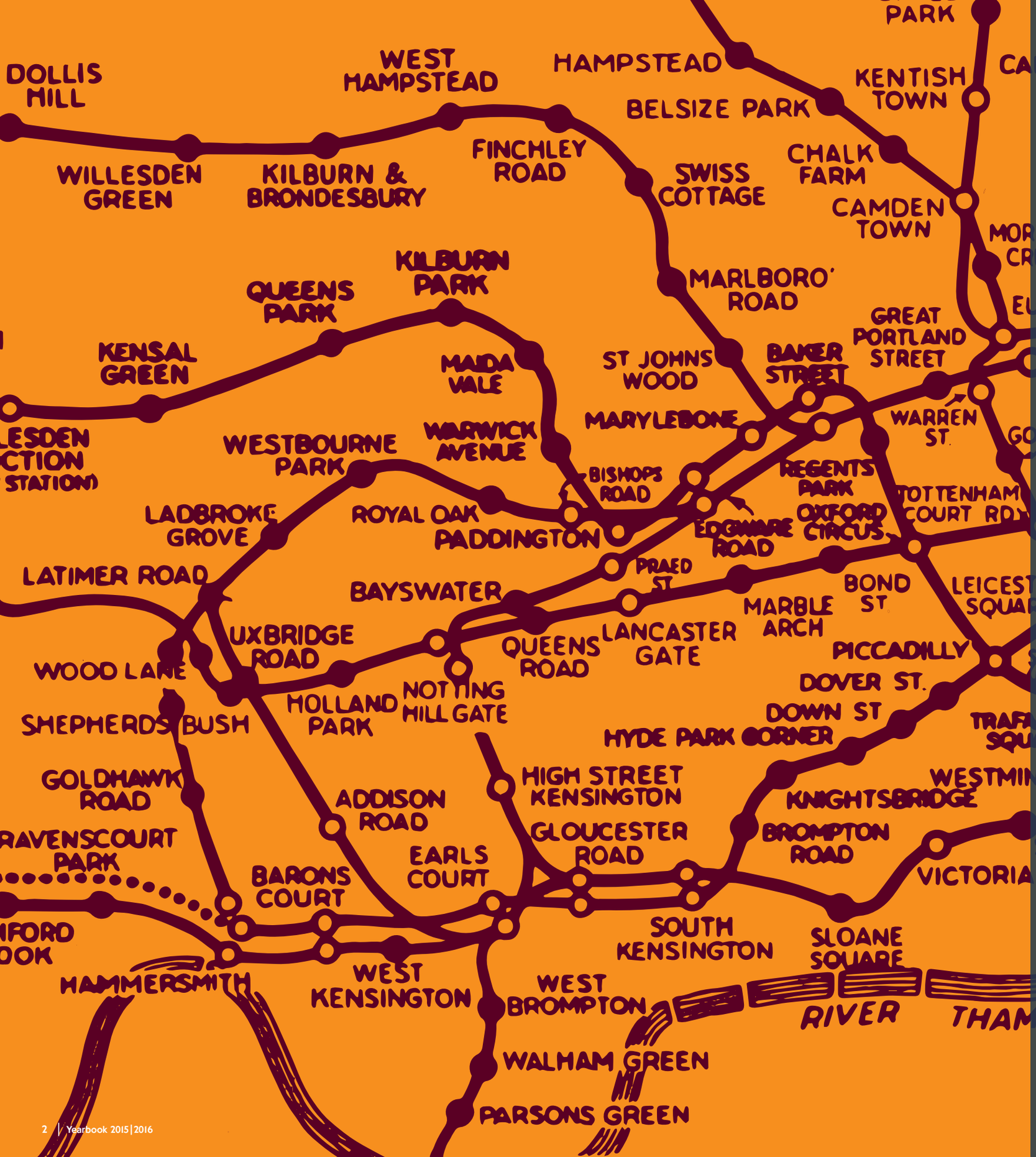
UNCOVER THE CITY'S SECRETS



london transport museum

YEARBOOK 2015 | 2016

London Transport Museum is an educational and heritage preservation charity. Our purpose is to conserve and explain the history of London's transport, to offer people an understanding of the Capital's past development and to engage them in the debate about its future.



London Transport Museum Yearbook 2015/16 incorporating the Strategic Report and Annual Report of the Trustees and financial statements for the year ended 31 March 2016

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* Articles do not form part of the audited Strategic Report

Message from the Chair of Trustees and Managing Director

We are proud to present the London Transport Museum (LTM) Yearbook for 2015/16. It has been an award-winning and record-breaking year in the life of one of London's busiest and most creative museums.

For the first time, more than 400,000 visitors enjoyed our Museum in a single year and we reached a significant milestone for the Safety and Citizenship initiative which has now engaged with over one million children since its launch a decade ago. Also this year, we opened a pop-up shop at South Kensington, acquired some superb new artefacts and unveiled the Hidden London programme of disused station tours. This truly innovative programme saw curators, educators, customer service professionals and enthusiastic volunteer guides come together with Transport for London (TfL) to create exciting and informative tours across four disused sites. The idea of mysterious, abandoned Tube stations hidden beneath our feet or glimpsed from the window of a speeding train has captured the public imagination and each tour sold out almost immediately.

We are building a strong reputation for working with young people to mitigate exclusion, develop confidence and employability, and support them into successful careers in the transport industry. Bringing these strands together, we launched Enjoyment to Employment to industry partners this year. This initiative will seek to build on young visitors' enjoyment of our galleries and provide resources to steer them towards a career in transport and engineering.

In partnership with TfL, we launched Transported by Design, a major celebration of the significance of design to the past, present and future of London's transport and urban environment. The key role of good design featured in several projects this year and will be a major focus of activity in 2016.

As ever, the patronage of all our visitors, shoppers and corporate supporters is very much appreciated. The expertise and wisdom of our fellow Trustees, creativity and hard work of an excellent staff and dedicated volunteer group, and the enthusiasm and support of the LTM Friends are essential to our success. Together we have made history.

Sir David Bell Chair of Trustees
Sam Mullins Managing Director

HIDDEN LONDON
uncovering a secret world

The excitement is almost palpable. With pupils dilating in the subdued lighting, voices hushed involuntarily, and nostrils flaring at the tang of cool subterranean air, another group of travellers leaves the ordinary world behind and enters Hidden London…

Aldwych, Down Street, Clapham South: deserted stations like these fascinate the public. Many sites are shrouded in folklore and urban myth. Some have genuinely been subject to the Official Secrets Act. London Transport Museum has run tours at disused stations since the 1990s, but we knew there was a huge, untapped demand for more so we began to develop a programme to safely increase public access, add to our curatorial knowledge and secure a new future for these under-used spaces. That programme was relaunched this year under the banner Hidden London.

With the help of TfL we identified sites that could support public tours. Using our own collections and new archival research, we separated fact from fiction, made exciting new discoveries and uncovered the human stories that make our tours authoritative and entertaining. Accuracy, authenticity and enjoyment are at the core of Hidden London.

Despite the romantic notion of forgotten, 'ghost' stations, even decommissioned underground structures are rarely truly abandoned. Such sites are routinely referred to by TfL as 'non-operational' rather than disused and are given second lives that can range from the ordinary to the inspired. Repurposed as air vents, archives, film sets, micro herb farms or wartime bunkers, such hidden spaces are usually off-limits to the public. Our programme has opened the door to these atmospheric locations, and the response has been overwhelming: all 457 tours sold out and more than 11,000 visitors experienced the thrill of descending into a hidden world.

Hidden London has been made possible thanks to a dedicated and passionate team of staff and volunteers, and the support of colleagues in London Underground and TfL. Due to the scale of the programme, we had to undertake two major recruitment campaigns to double the number of guides. Our volunteer guides are the cornerstone of the delivery of Hidden London and always bring enthusiasm and personality to the tours.

We have ambitious plans for Hidden London. We will add new locations and double the numbers of tours next year. There are many more secrets to be revealed.









CLAPHAM SOUTH DEEP-LEVEL SHELTER

(1–25 October 2015)

One of eight Second World War deep-level shelters in London, Clapham South opened to the public in July 1944 for those seeking refuge from the Blitz. With more than a mile of subterranean passageways, Clapham South also provided accommodation for visitors to the Festival of Britain and for hopeful Caribbean migrants arriving on the ss *Empire Windrush*.



DOWN STREET

(26 November–20 December 2015)

Located in Mayfair, Down Street had a short life as a working station from 1907 to 1932, but became critical to winning the Second World War when covertly transformed into the Railway Executive Committee's bomb-proof bunker. Prime Minister Winston Churchill took refuge secretly at Down Street during the Blitz.



ALDWYCH

(21 January–21 February 2016)

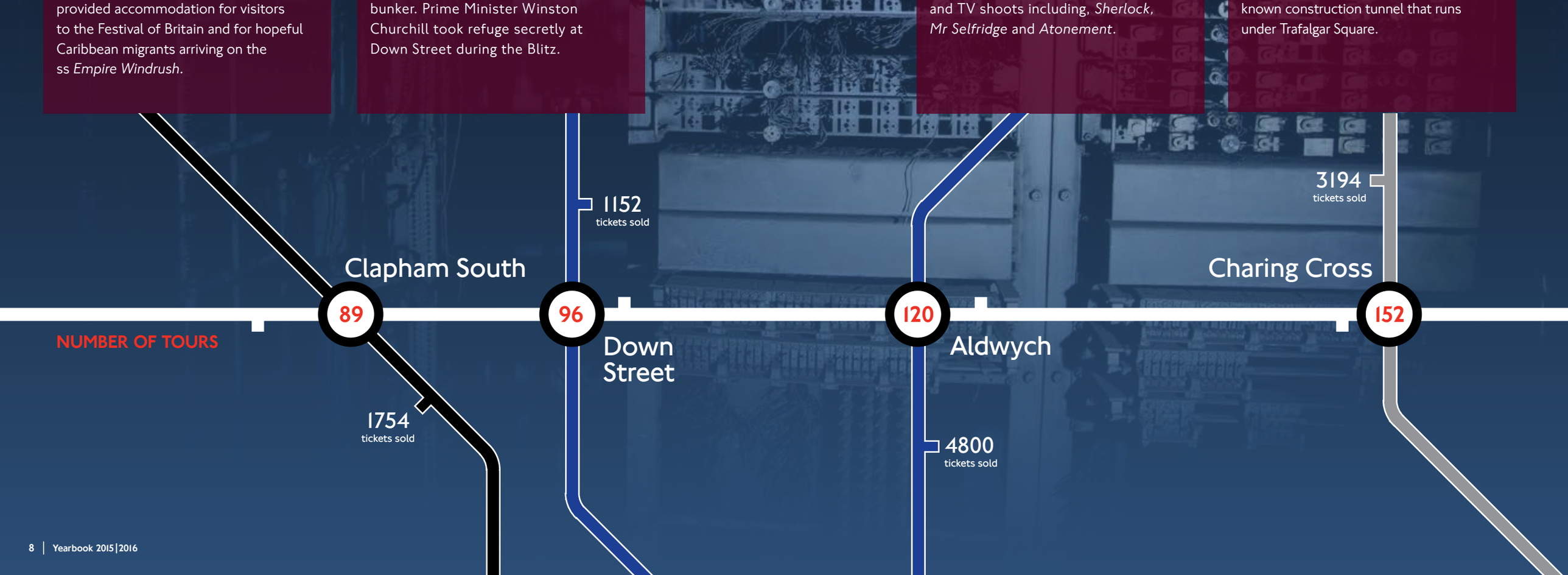
Aldwych station opened to the public in 1907 but was never used heavily and one platform was closed in 1917. The station provided shelter during the Blitz and finally closed completely in 1994. Since then it has been used for film and TV shoots including, *Sherlock*, *Mr Selfridge* and *Atonement*.



CHARING CROSS

(12 June–5 July 2015 and 25 March–17 April 2016)

The Jubilee line platforms at Charing Cross closed to the public in 1999. They are now used as movie locations. *Skyfall*, *Paddington* and TV's *24* were filmed here. Charing Cross is also home to the vast Craven Street vent shaft and a little-known construction tunnel that runs under Trafalgar Square.



NIGHT SHIFT

LONDON AFTER DARK

Inspired by TfL's plans to introduce Night Tube services, our visually striking exhibition *Night Shift: London after Dark* explored the links between public transport and the life of the city once the sun goes down.

The exhibition featured a large lenticular poster that flicked between the day and night Tube maps, as well as a rich selection of posters, photographs and ephemera, and a fascinating audiovisual presentation showing archival and contemporary documentary film about nocturnal London and its transport. *Night Shift* moved through time from the Victorian era to the modern day, exploring six key themes:

PLEASURE SEEKERS & SHIFT WORKERS

In the early 20th century, electricity fundamentally changed how Londoners used their city. All-night electric tram services began, posters started to feature the bright lights of Theatreland and the Capital's first night shift workers were employed.



BRIGHTER LONDON

After the dark days of the First World War, light poured into London again. Jazz shows flourished, and floodlighting became part of the entertainment landscape as London Zoo, historic buildings and even Underground stations were brightly lit for the first time.





BLACKOUT

Travel during the Second World War was dramatically different from the interwar years. Posters delivered advice and instructions for coping in the darkness of the blackout, and navigating safely during the city's strict curfews.



NEVER HAD IT SO GOOD

After the Second World War, London saw an increase in prosperity and a decline in the use of public transport. Photographs of night maintenance work in Underground stations and tunnels reveal rat catchers and cleaners – known as 'fluffers' – going about their nocturnal business.







NIGHTCLUBBING

No longer just for night workers, Night bus routes in the 1980s began to service London's growing nightclub scene. New routes and weekend services were added, and the service was given its own 'night owl' logo. The exhibition featured a large mosaic by Trevor Caley, commissioned for a Travelcard poster in the 1980s, and a 1984 London Transport night bus poster that inspired the deep blue walls and starry ceiling of the exhibition gallery.

24-HOUR CITY

Night bus use has risen 170 per cent since 2000 and London now has a huge night-time economy. The exhibition contained contemporary interpretations of the city after dark, including a new 'kirigami' (an intricate 3D model cut from a single sheet of paper) by artist Marc Hagan-Guirey, aka 'Paper Dandy'. It was produced in conjunction with the National Theatre's hugely popular production of *The Curious Incident of the Dog in the Night-Time*.

Celebrating 10 years of Safety and Citizenship

A decade ago the TfL Safety and Citizenship programme was created to teach every Year Six pupil in every London school every year about the safe and responsible use of public transport. The Museum has been delivering on this commitment ever since.

The TfL Safety and Citizenship (S&C) programme delivered by London Transport Museum, was launched in 2005. Since then more than 1.1 million young Londoners have been through the programme and we regularly reach 97 per cent or more of London's primary schools with only a small number of specialist schools, faith schools and home-schooled students missing out. From the beginning, the programme was led and designed by qualified and experienced learning professionals who brought together TfL's existing Tube and bus-related school activities into a unified, specialist programme.

Year Six was chosen because this is the year before many children become independent travellers on the transport network, catching a bus or even a Tube to school each day. Studies show that messages delivered at this age will stay with children as they grow older. Our own research in 2012 concluded that the S&C programme was having a significant long-term impact on the knowledge, attitudes and behaviours of London's young people regarding public transport.

At the centre of the programme's success is a team of highly trained School Liaison Officers (SLOs) working with volunteer Transport Youth Engagement Officers drawn from TfL, London's bus companies and the police. They are supported by a fleet of exhibition vehicles and a raft of indoor resources such as pop-up stations, buses, trams and riverboats. Sophisticated audiovisual material includes specially produced video content that enables SLOs to tailor discussions to the needs of any group.



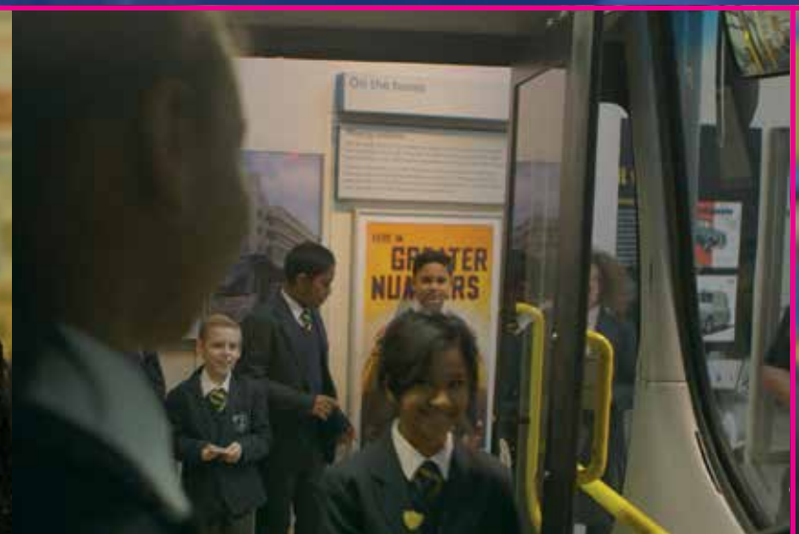
The programme is delivered in schools and at borough-wide Junior Citizenship Schemes. These essential events are delivered in partnership with agencies including the police, London Fire Brigade and others, and have been described as 'circuit training for life'.

As our experience and reputation has grown over the last decade so has the reach of S&C. We expanded the programme into secondary schools to address specific local concerns about safety, behaviour and ticketing issues, we delivered training for London Overground and the Canal & River Trust, and helped Emirates Air Line establish a successful schools scheme. Our close relationship with the Metropolitan Police Service has seen joint work on community events and targeted campaigns such as 'snatch' theft prevention and Project Guardian which is aimed at increasing awareness of unwanted sexual attention on public transport.

With London's population set to rise from 8.5 million to 10 million by 2030, there will be an associated increase in the number of school children, which will put pressure on our objective of universal coverage. Nevertheless, TfL and LTM remain committed to delivering this important and influential programme.









Year in summary

How we did against our key objectives

With record-breaking visitor numbers, a host of new activities and an extensive public programme, 2015/16 was another hugely successful year for the Museum. We exceeded performance targets and made significant progress in each of the strategic priority areas established last year.

Education and engagement
Alongside another full year of programme delivery, a major strategic review of our young people's educational activities was undertaken in 2015/16. From this has emerged the Enjoyment to Employment programme which aims to turn children's early excitement and enthusiasm for transport into adult achievements in the industry. Encompassing family learning, activities for primary and secondary school pupils, and our ground-breaking skills and employability work with young people, Enjoyment to Employment aims to nurture and inspire the next generation of transport workers. With the industry facing a lack of skilled engineers, the Museum is building a coalition with TfL and industry partners to support Enjoyment to Employment. The programme was introduced to industry leaders at an event hosted by TfL Transport Commissioner, Mike Brown MVO in March 2016 and was very well received. With a number of commitments made already, we expect to sign up a range of partners in 2016/17.



Museum operations and public programme
We surpassed our visitor target by more than 10 per cent this year, exceeding 400,000 visitors for the first time in the Museum's history. In addition we took 1,400 passengers on heritage vehicle trips, saw more than 4,000 visitors at special events, and sold over 11,000 tickets to Hidden London tours.

Strategic partnerships with TfL continue to be vital to the Museum. Close liaison with TfL enabled us to open a new Museum shop at South Kensington Tube station, and develop a contemporary collecting programme using newly recruited Curatorial Correspondents from across TfL to collect information and opinions about today's transport network. The Hidden London programme was built around access to non-operational Tube stations, and a number of TfL employees have become volunteer guides. We ran our steam train on the Underground's lines and launched Transported by Design (TbD) – an 18-month partnership celebrating the innovative ways that good design in the transport network helps keep London working and growing. TbD activities at the Museum this year included the redisplay of the London by Design gallery and a competition to find London's favourite transport design icon.

Research and advocacy
Introduced in 2009, the Museum's thought leadership programme quickly became an important forum for the transport industry to exchange ideas about today's topical issues and the challenges of tomorrow. As planned, the programme was relaunched this year, with a new name, Interchange, and the strapline 'moving thinking forward'. Our intention is to widen the programme to a public audience beyond its corporate networking roots. Information is now shared via Twitter and the Museum's Managing Director, Sam Mullins, blogs about events on LinkedIn. In March 2016, the Museum appointed transport expert Josef Hargrave from Arup's Foresight + Research + Innovation team as Futures Fellow. Josef's role is to offer insights into the future of transport and the evolving trends of this dynamic sector. His expertise will help shape Interchange and assist with the curation of our galleries and public programme.



Key performance indicators







MUSEUM AND DEPOT VISITS



TARGET 370,000 | ACTUAL 410,072

VISITS TO LTM WEBSITES



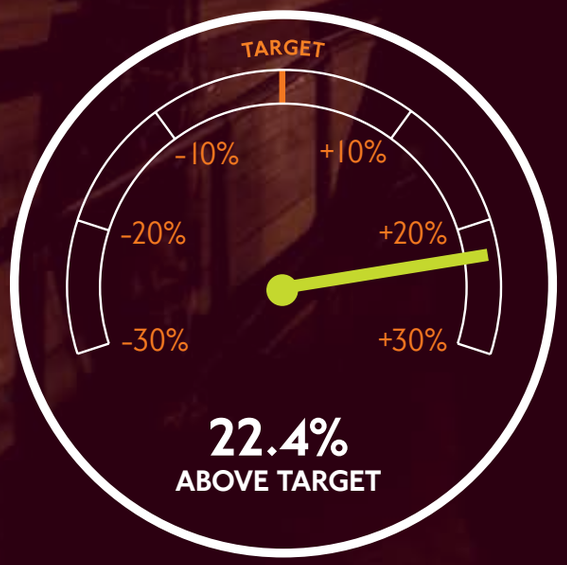
TARGET 1,000,000 | ACTUAL 1,071,845

EDUCATION VISITORS TO LTM



TARGET 25,000 | ACTUAL 24,188

NUMBER OF COLLECTION RECORDS ENHANCED*



TARGET 335,700 | ACTUAL 410,923

*Note: Improvements associated with the Online Museum project affected significant numbers of records this year

PUPILS PARTICIPATING IN SAFETY AND CITIZENSHIP PROGRAMME



TARGET 122,000 | ACTUAL 122,661

ACCESS AND MUSEUM OPERATIONS

We want our collections, exhibitions and events to be enjoyed by as many people as possible. Access is provided daily at the Museum in Covent Garden, through regular tours and open weekends at the Museum Depot in Acton, and via the Museum website. Our heritage vehicle outings, Hidden London tours and a rich programme of special events create further opportunities to inspire audiences with the stories of London's transport.

We welcomed more people than ever into the Museum this year. The All Aboard family zone, which opened in March 2015, has proven exceptionally popular with younger visitors who enjoy the chance to explore child-sized vehicles and dress up as drivers, mechanics and other transport workers. All Aboard has helped to grow our family audience significantly, and we had to introduce special baby-buggy parking zones to manage gallery space.

The Exterion Media Gallery hosted two temporary exhibitions this year. *The Prize for Illustration 2015: London Places and Spaces* saw our regular collaboration with the Association of Illustrators reach new levels with 100 entries on display across two floors. We had more than 1,000 entries and the Gold Prize was won by Eleanor Taylor for her illustration of the Royal Observatory, Greenwich.

Our second major exhibition was *Night Shift: London after Dark*, which was inspired by plans to introduce night-time Tube services. Eye catching transport posters from the early 20th century highlighted the rise of the West End and the growth of the leisure economy, while archive photographs and films documented the development of transport to meet the needs of Fleet Street and other night workers. Wartime Tube sheltering, the burgeoning nightclubbing scene, and hard-hitting safety campaigns brought the story up to date and cast new light on our contemporary 24-hour city.

Both exhibitions were launched with Friday Late events featuring the usual popular mix of talks, tours, music, quizzes, cocktails and craft activities. There were two other Friday Lates this year: *Make Mine a Double* celebrated London's high society, while *Illuminate* featured fun activities inspired by the *Night Shift* exhibition including shadow life-drawing classes and cyanotype printing workshops.







We also introduced special ticketed events in the Cubic Theatre running alongside Friday Lates. *Spirited London: Gin and the City* took guests on a journey through the history of gin with talks and tastings from industry experts, while *Talk and Tasting: The Scent and Spirit of London* saw author Alice Lascelles and 'scentertainer' Odette Toilette exploring 20th century London through its signature scents and drinks.

The public programme was dominated by Hidden London which offers a rare opportunity to explore disused venues across London. Building on the successful tours of Aldwych station over the last few years, we added Charing Cross, Down Street and Clapham South deep-level shelter to the list this year. Tours sold out quickly and we received overwhelmingly positive feedback. We are planning to double the number of tours in 2016/17.

Museum vehicles and staff attended a number of Bus Garage Open Days across London this year and we opened our own Acton Depot twice for weekend events. These featured tours, talks, archive film screenings, bus rides, guest vehicles and special activities aimed at families and transport enthusiasts. The April 2015 Depot Open Weekend attracted a record number of visitors. During the event, colleagues in nearby Hearne House, TfL's engineering testing workshop, opened their doors for public tours for the first time. Acton Depot was also open regularly for general guided tours, art and poster store tours, and Johnston Journeys tours celebrating the evolution of the Johnston typeface which was created exclusively for London Transport a century ago.

Our heritage buses operated for nearly 1,200 miles during 2015/16, including extended outings for the B2737 Battle Bus to Beamish Open Air Museum and Crich Tramway Village. Steam locomotive, Met No.1 was also in action at a weekend of steam on the Metropolitan line in September 2015. Events company Tea Darling set up a busy vintage tea room at Watford Tube station providing tea and cake to the classic sound of an old-fashioned gramophone.

Behind the scenes, major improvements were made to systems and digital data management as part of a project to make collections information available online. Following the launch of our revamped website last year, the Heritage Railway Association presented the Museum with a Publication and Media Award for Excellence for best website. The judging panel reviewed more than 360 member organisations and made the award on the basis that the LTM website was 'by far the most informative, stylish, clear to follow and use'.

Hidden London's guiding lights

At the heart of the team bringing the Hidden London programme to life is a group of talented and dedicated volunteer guides. Some have been volunteering with the Museum for many years, others were recruited this year. What makes them tick, and what do they enjoy about being a guide?

Patricia (known as Pat) Dennis began volunteering with LTM in 1994. Among her many activities at the Museum she leads tours at all the Hidden London venues. By contrast, delivering tours at Aldwych and Charing Cross in 2015/16 was Paul Burkitt-Gray's first volunteering role. We caught up with them to talk about life as a Hidden London tour guide.

Tell us something about yourselves.

Pat Dennis (PD) I'm a Londoner, born and bred. I have worked for London Underground for nearly 37 years – I joined when I was two! I've always been fascinated by the heritage, the history, the design, and by how much London depends on its transport, particularly the Underground.

Paul Burkitt-Grey (PBG) I've been a fan of London's transport for as long as I can remember. I'm currently working in 3D printing design but, fingers crossed, I'm about to start an apprenticeship with Transport for London in their project planning department.

How would you describe guiding for Hidden London?

PD Love it, love it, love it! I really do. If I wasn't working, I'd do more of it. It is hard work and can be tiring, but it's the most brilliant fun.

PBG It's absolutely wonderful. You get to look around parts of the Underground network that nobody believes exist. I think it is a real privilege to show everybody around and share these secret parts of London.



What's your favourite Hidden London venue?

PD Clapham South because it's a wartime shelter, not a station. You are telling a different story there, and to some extent it's frozen in time as it was only used for a very short period.

PBG I think it would be Charing Cross. It has amazing construction tunnels and ventilation shafts disappearing off into the distance. Just so totally different from what the public normally gets to see on the Tube. It's such a wonderful place.

How have visitors reacted to the tours?

PD The feedback we get seems overwhelmingly positive. Often there is a smattering of applause which is very nice – but I don't look for that. When I say that other tours are coming up, visitors are keen to know more so we must be doing something right!

PBG The people on the tours seem to enjoy it so much going around locations that are normally off-limits, so it's a really exciting thing to do.



What's your favourite Hidden London fact?

PD When the ss *Empire Windrush* arrived, passengers that hadn't got accommodation were billeted at Clapham South and the nearest Labour Exchange was Brixton, which is why there is a strong Caribbean community there to this day. Just one little fact like that changes the face of London.

PBG The first stage of the Jubilee line was dug by men with picks and shovels working in the old-fashioned Greathead shield, just the same as in the 1890s. Nearly 100 years of progress and they were still using basically the same method. That amazed me.

If you could have one superpower to help you guide, what would it be?

PD Unending stamina so it didn't matter how many times you went up and down the stairs at Aldwych or Clapham South. I'm shattered at the end of three or four tours and have to have a jolly good lie down!

PBG Photographic memory. When I'm in the bath or on the train I've been getting my notes out and reading through so I can do the tour forwards, backwards, or standing on my head. If I could flick through the script and know it off by heart that would save a lot of time…

EDUCATION AND ENGAGEMENT

We want to inspire everyone to engage with the past, present and future of London's transport. At the Museum and Depot, and through outreach across London, we offer learning opportunities, skills development and engaging programming to our visitors, schools, young people, volunteers and many other communities.

Each year, around 25,000 children visit the Museum as part of our schools programme which provides structured learning linked to the national curriculum. We were delighted when this programme was recognised with a Sandford Award for Heritage Education this year. The Sandford Awards are independently judged, quality assured assessments of education programmes at UK museums and heritage sites. The awarding body praised the friendliness of Museum staff and declared that LTM delivered 'excellent interactive learning experiences for all visitors, fuelling the imagination and stimulating creativity', and went on to say that school sessions offered 'high-quality problem-solving activities and exciting role plays to enhance understanding and skills, and foster learning'.

We also have a well-established and effective set of school engagement activities that take place outside the Museum's walls. The highly successful TfL Safety and Citizenship (S&C) programme, delivered by London Transport Museum, celebrated 10 years of service to London's young people in 2015. Since its inception, the scheme has worked with more than one million children across a number of strands. Promoting safe, responsible use of public transport, the 'pre-transition' element of the programme engages with almost every Year Six child in London each year to prepare them for independent travel. During the academic year ending in 2015, this involved more than 96,000 children.

S&C School Liaison Officers and specially trained volunteers drawn from across London's transport network, also work regularly with secondary schools to address particular, local issues. These can range from reminders about the importance of courteous behaviour to reducing the likelihood of being a victim of crime while travelling. During 2015/16 nearly 200 such sessions were run, reaching almost 20,000 pupils.

Following last year's pilot, the S&C team also worked with the Metropolitan Police Service to develop and deliver Project Guardian during 2015/16. We provided 100 guidance sessions to increase awareness among Year Nine students about unwanted sexual attention on the transport network, and to offer strategies to stop the behaviour and allow students to exit the situation safely.













A further area of engagement with schools is provided by the Youth Travel Ambassador programme which empowers pupils to work together to tackle issues on their School Travel Plan and improve their journeys to school. The programme is now in its third year and has so far worked with nearly 200 schools.

The Museum also offers an extensive range of other formal and informal learning opportunities, and this year, following a major strategic review, many strands of work have been drawn together under the title Enjoyment to Employment. Our aim is to provide enjoyment for all our visitors and sustained engagement opportunities for those who may go on to gain employment in the transport industry. This fresh, coherent approach will build on the obvious excitement that our younger visitors have for transport, and support them in their enthusiasm as they get older. The spectrum of learning activities under this umbrella ranges from the Museum family and schools programmes through to initiatives such as Inspire Engineering and Route into Work which provide career guidance and genuine workplace opportunities to young people. We are currently engaging sponsors and partners to develop the concept further and activate the programme in 2016.
An important element of the Enjoyment to Employment proposition is the constructive fun that children and families can experience in our All Aboard family galleries. As part of last year's overhaul, we increased the amount of play space and brought in a wider range of transport modes and carefully planned learning opportunities. Designed to appeal principally to children under seven, All Aboard encourages active role play in a transport environment which includes a child-sized bus, riverboat, Tube train, taxi, Docklands Light Railway train and even a cable car from Emirates Air Line. Children can play the part of drivers, buskers, maintenance workers, or possibly the transport managers of the future.









EDUCATION AND ENGAGEMENT PARTNERSHIPS

Our learning and engagement programmes are supported and enriched by creative partnerships with a broad range of organisations. We are delighted to have worked with the following partners during 2015/16.

INSPIRE ENGINEERING SUPPORTED BY SIEMENS
Luke Rees-Pulley Charitable Trust
Siemens

ROUTE INTO WORK PARTNERS
BAM Nuttall
Brixton Job Centre
Capita
Chance 2 Change
Chingford Job Centre
Cleshar
Community Links
Construction Youth Trust
Crossrail
A Fairer Chance
Flo
Go-Ahead Group
Greenwich Local Labour and Business
Hoxton Job Centre
London Community Rehabilitation Company
Parsons Brinckerhoff
Peabody
Princes Trust
RATPDev
Reed
Remploy
Serco
Siemens
telent Technology Services
Vital Regeneration
Walthamstow Job Centre
Youth Transition Network

SCIENCE, TECHNOLOGY, ENGINEERING AND MATHS (STEM) PARTNERS
British Science Association
Crossrail
Engineering UK
HS2
London City Airport
National Rail
STEMNET
Thames Tideway
Transport and Infrastructure Education Partnership
Worcester Polytechnic Institute, USA

SCHOOLS, COLLEGES, YOUTH AND EDUCATIONAL ORGANISATIONS
Bollo Brook Youth Centre
Care Consortium
City and Islington College
City of Westminster College
City West Homes
Digital:Works
Haberdashers' Aske's School for Girls
Epping Forest College
Fotosynthesis
Goldsmiths, University of London
National Autistic Society
National Careers Service
Oasis Academy Southbank
The Portman Early Childhood Centre
Royal College of Art
Royal Greenwich University Technical College
SIDE Projects
Skills Training UK
South Essex College
St Mungo's
Trinity College London
University of Westminster
Westminster Adult Education Service
Westminster Kingsway College
Young Londoners Participation Network

BATTLE BUS LEARNING PROGRAMME PARTNERS
Abellio
The Audience Agency
Battlefield Partnership
British Postal Museum and Archive
Bruce Castle Museum
ComfortDelGro
First World War Centenary Battlefield Tours Programme
Kingston University
Northumberland Park Community School
RATPDev
Stagecoach

APPRENTICESHIPS AND TRAINEESHIPS
Creative and Cultural Skills Cultural Co-operation
London Apprenticeship Company

MUSEUMS AND CULTURAL SECTOR PARTNERS
Cabmen's Shelter Fund
Creative Intelligence Agency
The Creative Society
Cultural Learning Alliance
Culture Network Westminster
Ditchling Museum
Diversity in Heritage Group
Edward Johnston Foundation
Engage
Fulham Palace
GEM (Group for Education in Museums)
Get the Message
Gunnersbury Park Museum
Ham House
Happy Museum Project
Heritage Volunteer Group
Kids in Museums
London Museum of Water and Steam
London Museums Group
London Schools Excellence Fund
Luke Rees-Pulley Charitable Trust
Museum Association
Museum Detox Group
Museum of London
Museum Showoff
National Gallery
Natural History Museum
A New Direction
Old Royal Naval College
Orleans House Gallery
The Poetry Society
Royal Commission for the Exhibition of 1851
Royal Museums Greenwich
Royal Opera House
Science Museum
Sir John Soane's Museum
SLAMbassadors
Southbank Centre
Strawberry Hill House
Theatre Royal Stratford East
The Creative Society
The Lord Mayor's Appeal
Wandsworth Museum
Wellcome Collection
William Morris Gallery
Young People's Programmers Network

SAFETY AND CITIZENSHIP AND YOUTH TRAVEL AMBASSADOR PARTNERS
Association of Orthodox Jewish Schools and Organisations
Battersea Dogs and Cats Home
British Red Cross
British Transport Police
Cycle Smart Foundation (for cycle helmets)
Ealing MENCAP
Film companies:
Film Smart
The Riot Act
Serious Comedy
Studio Film School
Hackney Museum
Hatzola (North London)
London bus operators:
Arriva London
ComfortDelGro (Greenford, Alperton and Harrow Weald)
FirstGroup UK Bus (Greenford)
Go-Ahead London (Bexleyheath and Croydon)
RATPDev (Edgware, Fulwell and Hounslow Heath)
Stagecoach (Catford)
London Fire Brigade
Metropolitan Police
Road Safety Borough Officers
Royal National Lifeboat Institution
Southwark Council
Sustrans (for Bike it)
Wood Green Animal Shelter
Young Hackney

We are also grateful to our many friends and colleagues across TfL who support the work of the Museum. In particular we would like to thank the Steps into Work, Supplier Skills and Workforce Continuity Teams, the TfL Youth Panel and TfL Women's Staff Network Group.





My route into work

ALEX TALBOT, CURATORIAL ASSISTANT, LONDON TRANSPORT MUSEUM



LTM's Route into Work programme builds up the employability skills of young people who are not in employment, education or training. We have successfully helped many candidates find roles in the transport industry over the last few years. One of those was Alex Talbot, and this is his story.

'Growing up, I always wanted to do mechanical and engineering work,' says Alex Talbot, LTM Curatorial Assistant. 'I had the idea that anything is repairable.' Unfortunately, despite his love of engineering and finishing college as an NVQ Level 3 mechanic, work wasn't easy to find. At the JobCentre they told Alex about opportunities with TfL, originally suggesting customer services roles, but at the time, he felt he lacked the confidence for this. However, there was another opportunity more suited to Alex's qualifications and interests.

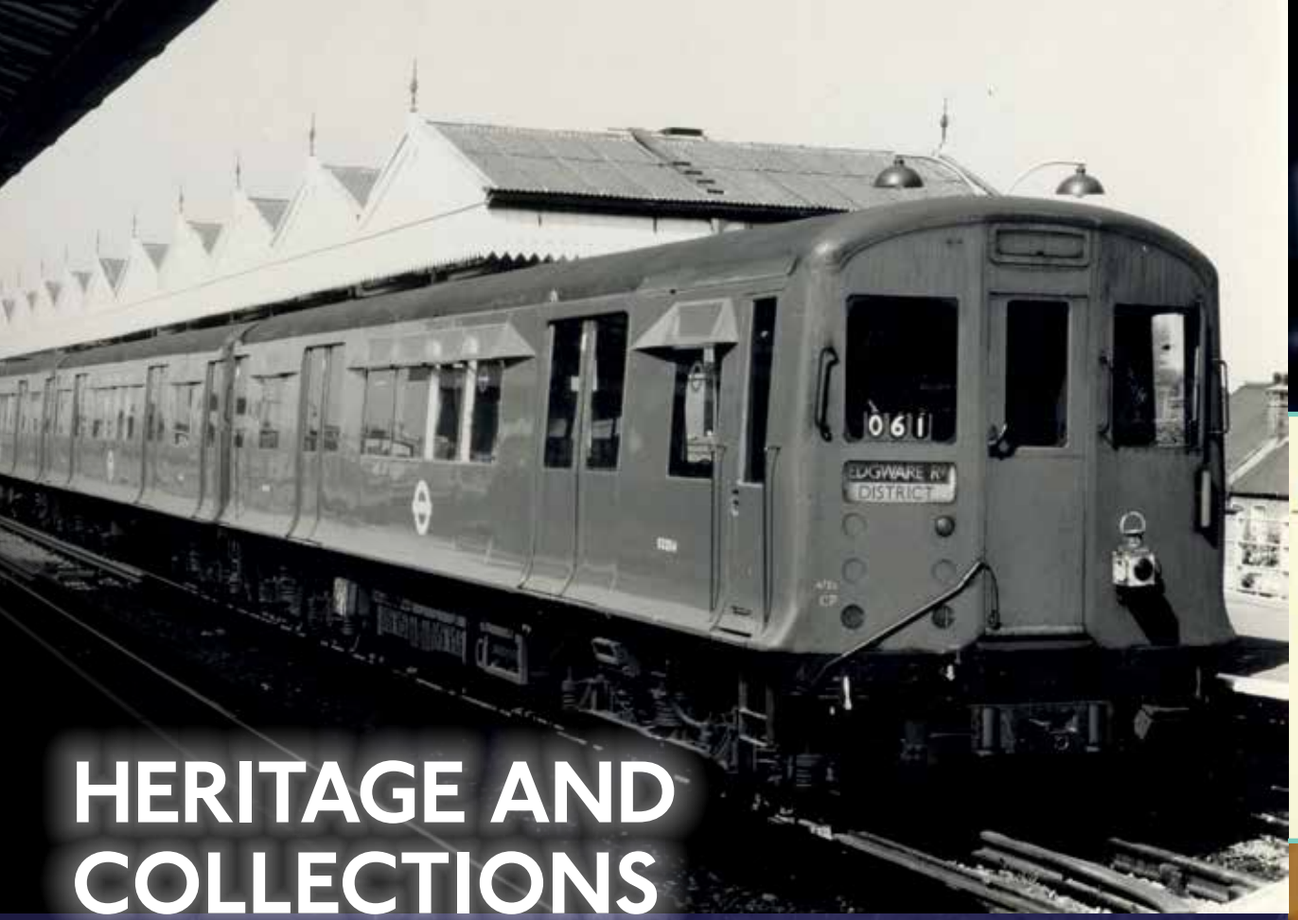
With funding from Arts Council England, London Transport Museum had created a three-year Curatorial Assistant position to work alongside our highly skilled curators conserving, restoring and operating heritage vehicles and equipment. Drawing on our Young People's Skills Programme, we offered a Route into Work course to promote the role. 'Sign me up straight away!' was Alex's response. Seven young people took part in the course and all achieved the further education NCFE Level 1 accreditation in Business and Customer Awareness. For Alex there was also another outcome; 'by the end of the three days I fell in love with the collection,' he says with a smile.

As part of Route into Work, the candidates interview Museum managers. 'How do I get a job here?' Alex asked Bob Bird, Senior Curator for Vehicles and Engineering. 'Volunteer', replied Bob, so within a week, Alex had joined the Johnston Ambassadors project to develop a creative response to the work of celebrated typographer Edward Johnston. With his confidence boosted and 'still buzzing' from seeing his work in the Museum's gallery, Alex prepared for his interview for Curatorial Assistant. 'The application was the hardest thing I've ever done because it was something I wanted to get completely right,' he remembers.

At interview, Alex impressed with his honesty and enthusiasm and was offered the job. He started in September 2015 and since then has been on training courses, developed new skills, worked on the wiring of our West Ham tram, helped repaint a Waterloo & City Underground car, and suspended a station destination box from the Depot roof at Acton. He now works alongside Bob Bird and the Curatorial team for whom he has much praise, 'they are always getting me involved, if I need to know something they always show me and it's such a nice team, such a friendly environment'.

When asked whether he would rather be working on modern vehicles instead of the preserved trains and buses in the Museum collection, Alex is emphatic: 'I did most of my studies on modern cars and it was an enjoyment – but working with the vehicles here is a *passion*. I still get amazed when I walk into the Depot. And that smell! I can't get enough of it…'





HERITAGE AND COLLECTIONS

The Museum's collection of nearly 475,000 objects includes vehicles, posters, signs, uniforms and other items that represent London's unique transport heritage. We ensure the collection is properly conserved and cared for so it can be used as an inspiring and accessible resource for exhibitions, events and research.

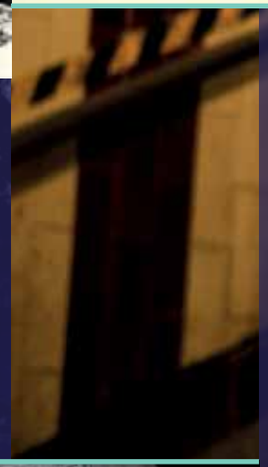
















Primary research, object conservation and curatorial expertise were all vital elements of the Hidden London programme. Curators combed the Museum's collections of engineering drawings, photographs and posters to unearth information about the Hidden London sites. Visits to The National Archives yielded notable discoveries, and new material acquired for Down Street and Clapham South deep-level shelter included 20 previously unknown negatives and photographs. All of this helped bring the tours to life through the guides' scripts, site displays, and the souvenir brochures given to visitors at the end of tours.

The collections were also integral to our exhibitions throughout the year. *Night Shift: London after Dark* featured posters, photographs and a large mosaic, and *Open to All*, an exhibition for Black History Month, displayed posters and artwork celebrating the contribution of multi ethnic staff to transport in London since 1910 when Joe Clough became one of the earliest black bus drivers.

There was also a rolling programme of Poster Parades – themed mini-exhibitions showcasing 20 posters at a time.

We undertook an extensive redisplay of the permanent design gallery to mark the beginning of the Transported by Design programme of activities and events. Content was brought up-to-date and the extensive audiovisual elements upgraded in conjunction with the large contemporary installation called Connections. Together, these two important parts of the Museum now cover all aspects of design including station and vehicle design, graphic and poster design, and service design.

Transported by Design also inspired the Design Icons project which invited the public to pick their favourite from 100 key transport designs. The black cab, the work of Frank Pick and Harry Beck's original Tube map were voted the top three and feature in a book based on the project. The Collections team also spent much of the year researching and preparing for the next major exhibition, *Designology*.

The Johnston Journeys programme is based on the life and work of celebrated typographer Edward Johnston. This year we held a Johnston symposium, researched a forthcoming book, and created a new showcase for wooden Johnston typeface blocks. The Johnston Ambassadors project paired volunteers with an artist to create artwork celebrating the 2016 centenary of the Johnston typeface. The resulting artwork – a set of ceramic tiles – is now on permanent display at Covent Garden.

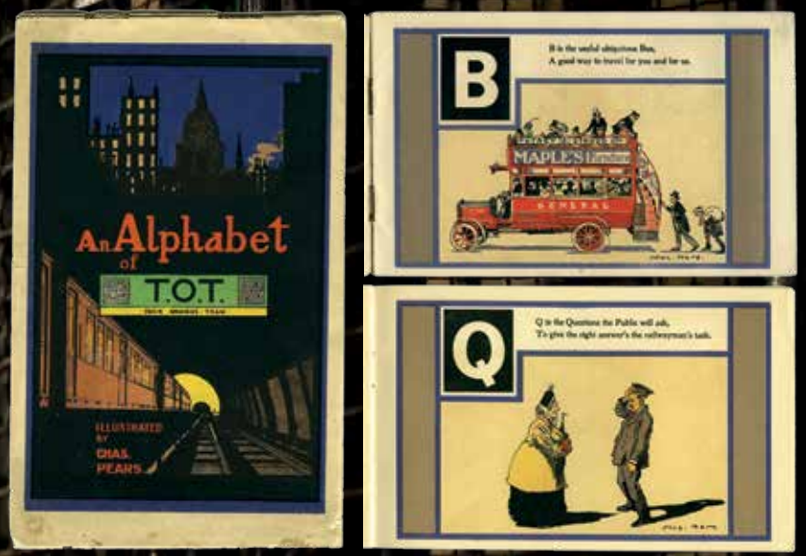
A major overhaul of the 1938 Tube stock unit began this year and we hope to have it back in action on the Underground soon. We also started a project to restore our set of four Standard stock carriages, and began extensive technical research ahead of a proposed restoration of our Q stock train. Work on the Waterloo & City car is well advanced, and B type Battle Bus B2737 had vital work done to its engine and front axle. We have also started repairs to the engine of LT type AEC double deck motorbus LT165, and hope to make it roadworthy soon.

The collection grew by more than 6,000 objects this year including a C stock Underground driving car and a 1914 London & North Western Railway (LNWR) Torpedo charabanc acquired from Mike Sutcliffe MBE. This is one of three vintage buses in the Sutcliffe Collection that LTM has agreed to purchase and we launched the Leyland buses appeal to raise funds to acquire and maintain these special vehicles. The charabanc is currently on display at Covent Garden.

Researchers from around the world continue to visit the Museum, access the collection and ask questions of the staff. We responded to over 8,000 enquiries this year and licensed hundreds of images for use in LTM and third party publications. The Museum's library and information service began a project to audit, clean and rehouse more than 5,000 pamphlets. The Information Services Manager helped to edit nearly 100 written projects this year. One interesting publication was a facsimile reprint of *An Alphabet of T.O.T.* (Train, Omnibus, Tram – the title of the staff magazine at that time), produced to mark the centenary of its publication in 1915. This poignant booklet was first published to raise funds for transport workers serving at the Western Front.

We began a contemporary collecting initiative this year to obtain material, both tangible and digital, which reflects TfL's current activities and the rapidly changing transport network. The project includes wide participation by TfL staff and in one significant piece of work we collected 554 photographs from 57 Tube stations chronicling the closure of booking offices.

The Born Digital project has improved the way we collect, preserve and make accessible digital objects such as audio and video recordings. We have also established new policies and standards around digital data that will inform our ambitious online collections project to make 200,000 collections objects available over the coming years.











London by Design

BY ELIZABETH SCOTT, HEAD CURATOR, LTM

Vehicles, ephemera, drawings, plans, posters, artworks, signs, relics and photographs – London Transport Museum's collection is as varied, exciting and enthralling as London itself. As new Head Curator, how could I get to know the collection thoroughly and quickly? Overhauling the permanent design galleries was the perfect answer.

Design covers every single facet of the collection, so while conducting my research I was getting to know our objects and their stories, soaking up broad themes and detailed histories simultaneously. But the more I learned the greater the challenge became – if the whole Museum is a testament to design, how do you select which stories to tell in a permanent gallery dedicated to the subject? I started by looking at the early pioneers of transport design – figures such as Frank Pick, Harry Beck, Edward Johnston and Charles Holden from the 'golden age' of design in the 20th century. Beck's Underground map, Holden's stations, Johnston's typeface, the glorious posters commissioned by Pick – all masterpieces in their own right as well as important parts of London's transport design heritage. I wanted to tell their stories in a different way, exploring the legacy of these classics in contemporary developments, and using innovative audiovisual elements to bring the space to life.

Certain stories warranted their own showcase: posters, vehicles, Tube maps, and the ground-breaking sense of corporate identity that London Transport created years ahead of its time. But alongside them I injected other histories such as moquette seat fabric, bus maps, poster production and the beginnings of consistent design during the Victorian period. For the first time, the design gallery and our giant contemporary installation, called Connections, share a visual identity, helping visitors make their own connections between past and present, and between notions of physical design and those of service design – the way in which London's modern transport systems are planned and managed to deliver the best possible service. Our young apprentices helped to update the 3D model of London and the digital content of Connections was overhauled with the help of the Centre for Advanced Spatial Analysis. It now includes real-time information about all the buses, Tube trains and cycle hire bikes across the Capital.

At the centre of the design gallery, though, remains Frank Pick. The man who literally changed the face of London through his vision, innovation and commitment to excellent design. Pick's portrait takes pride of place alongside his notebooks and scrapbooks in a showcase I once jokingly called the 'altar to Frank Pick'. My dictionary defines an altar as 'a place of commemoration or devotion', so perhaps on reflection, that's exactly what the London by Design gallery is, a commemoration of the work of Pick and his contemporaries, and testimony to their lasting impact on London's transport network.









Elizabeth Scott joined LTM as Head Curator in 2014. She is the lead curator for London by Design and the new Designology exhibition, and a passionate advocate for the permanent Frank Pick memorial planned for Piccadilly Circus station.

Plans for the future

Our medium-term strategic priorities are to develop and maximise the effectiveness of our presence in Covent Garden, and look to expand our capacity beyond the Museum's walls.

With record visitor numbers to Covent Garden, the Museum has been close to capacity at times this year. This has led us to carefully consider the Museum's future development and in particular our premises strategy. We have investigated alternative locations but the timescales and funding implications mean that our medium-term strategic priorities remain with Covent Garden. However, in addition we will seek outside opportunities to increase our impact through educational programmes, new charitable and retail ventures, and key partnerships with TfL and other stakeholders.

In support of our aims, we have identified four key areas of strategic development:

Creating additional commercial value
Financial sustainability remains a key priority. The Museum has an excellent track record of delivering income through our trading company which operates retail, sponsorship, venue hire and other activities. With an Assistant Director – Commerce now in post, we have a new focus for the identification and development of commercial opportunities across our portfolio.

Plans for 2016/17 include a major redevelopment of the Covent Garden shop, new merchandise ranges from leading designers, retendering the webshop service provider, and building partnerships to support key programmes such as the Enjoyment to Employment initiative.

Advancing the Distributed Museum
With the Museum feeling close to capacity for visitors, and Acton Depot close to capacity for collections storage, we have developed the concept of the Distributed Museum as a way of continuing to extend our reach and impact beyond our busy central London base. The Distributed Museum encompasses current initiatives such as 'pop-up' shops at Tube stations, heritage road and rail operations and the hugely popular Hidden London programme. Plans for 2016/17 include more Hidden London tours and the introduction of new venues, additional retail sites, and an evaluation of the potential for satellite ventures aimed at particular types of visitors.

Developing value in all our relationships
Relationship management is the key to fundraising, customer service and stakeholder support. The Customer Data Excellence project will help transform the Museum's business processes, bringing together data on visitors, shoppers and supporters to improve the quality and relevance of our contact with them. We will also begin an internal campaign to see ourselves through our customers' eyes as part of a master plan for Covent Garden to 2020 which includes gallery upgrades and improvements to our entrance, queuing and welcome arrangements.

Maximising the use of our resources
Effective systems and capable, motivated people are essential to our success.
In the coming year we will review our mission-critical collections management system and establish an IT strategy. We will improve our project management and project review processes, and the way in which we analyse and report on our performance. We will continue to keep premises issues under review and, in particular, we will establish an office accommodation strategy for the medium term.

INTERCHANGE moving thinking forward

The Museum's thought leadership initiative has grown into a well-respected and influential programme over the last few years. In 2015/16 the programme took the next step in its development.





Moving thinking forward. This deceptively simple phrase has come to symbolise what our thought leadership programme is all about. Renamed as Interchange this year, the programme of events, seminars and debates regularly brings together opinion formers, decision makers, policy writers, leading academics and senior practitioners to exchange views and explore ideas about transport, cities and infrastructure.

Interchange is the pre-eminent programme of its kind in the UK, and is described by Professor Tony Travers of the London School of Economics and Political Science, as 'a great way to think quickly and deeply' about the important issues of today and the challenges of the future. Our specially invited audiences are knowledgeable and informed, and as Iain Anderson, Head of Business Development and Tendering, Colas Rail observed, they are 'senior people with the capability and authority to turn the plans into reality' – these are the leaders who are moving thinking forward into real action.

Alongside a new name, Interchange includes other significant developments. Where appropriate, social media platforms now offer a wider online community the opportunity to interact and engage in the debate. The Twitter account @LTMInterchange reports live from events and passes on intelligence from other relevant conferences and events and Managing Director, Sam Mullins now posts an Interchange blog on LinkedIn.

Most significantly, in January 2016 we engaged in a strategic partnership with Arup and enrolled Josef Hargrave as our Arup Futures Fellow. Josef is an Associate in the global Foresight + Research + Innovation team at Arup and his expertise will not only inform the Interchange programme, but also Museum gallery content and public events.

We have ambitious plans for Interchange to go beyond a series of industry events and develop into a wide transport forum that could include conferences, papers, research and even public debates about local, national and international issues.

Our relationships with the Museum's Corporate Members, with TfL and with industry bodies are fundamental to the success of the programme. We are enormously grateful to our speakers, sponsors and attendees, and in particular to Eversheds and Thales UK for their ongoing support of Interchange.

'LTM's Interchange programme is filling a gap in thought leadership for the transport sector'

Dominic Williams, Hewdon Consulting

2015/16 INTERCHANGE PROGRAMME

Our range of topics is as broad as the varied interests of our audience, and our reputation allows us to secure top industry names for discussions and debate. This year we held seven round table events.

Road space tug of war: the long term management of traffic demand in urban areas

Planning, managing and prioritising demand on London's road network means trying to balance the conflicting demands of road users. Led by Professor Stephen Glaister and Ben Plowden (TfL), our first event of the year examined progress in implementing the road space demand management recommendations of the Roads Task Force report.

Customer service on the front line – making every journey matter

Effective recruitment and training are key to delivering an excellent customer experience. Using bus industry research, we examined the role of managers and supervisors in creating a bridge between drivers and passengers. Case studies were delivered by Neil Micklethwaite (East Midlands Trains), Jocelyn Pearson (Transport Focus) and Caroline McKinley (Ipsos MORI).

Road and Rail Travel Trends

This year we again partnered with the Independent Transport Commission to deliver an exclusive preview of its latest Road and Rail Travel Trends report. The report investigated attitudes among four key groups with a strong impact on travel trends: younger people, pensioners, migrants and business travellers. Steven Norris and Dr Kristine Beuret led the discussions and pondered the possible implications for future government policy.






Keeping London's competitive edge

In a follow-on from our infrastructure investment series, we looked at London's global position and competitive edge. Discussions were led by John Dickie (London First), Colin McIlheney (PwC) and Julian Ware (TfL), and centred on London's exceptional population growth and demands on housing and transport. Where will investment come from and who will pay for it? Attendees agreed that London will need to control more of the resources it generates if it is to successfully reinvest in infrastructure.

New towns and the impact of population growth

Our next event considered the consequences of high population growth on outer London. Transport as an enabler of development was a strong theme during the discussions led by Bridget Rosewell (Volterra Partners) and Andy Hunt (Quod). Also discussed were new urban towns, estate renewals, densification, and the possibilities of adding extra storeys to existing buildings. Attendees felt strongly that an integrated transport and housing strategy should be a priority for the new Mayor.

The future of ticketing

Ticketing doesn't have a future! This was the conclusion at the event led by Shashi Verma (TfL) and Mark Austin (Visa Europe). London's experience shows that, for customers, the simplest route to quick and easy payment for transport services is the contactless bank card – so why are other UK rail providers reluctant to adopt smart ticketing? Smart ticketing generates more travel and better data, but must be seen as a visionary customer proposition, not a costly hardware investment. It may only need one region to take the plunge and the rest will surely dive in…

Crossrail 2 – making the case for infrastructure investment

At our final event of the year, Michele Dix (TfL) and Andrew Crudgington (Institution of Civil Engineers) made the case for investment in Crossrail 2 and other major UK infrastructure projects. Since the meeting, the National Infrastructure Commission have endorsed Crossrail 2 and we are one step closer to seeing this exciting new project become a reality.

'An event that puts people from different backgrounds in the same room discussing common strategic issues has got to lead to better understanding and better solutions.'

Mark Threapleton, Stagecoach London

Income and support

The Museum's charitable work depends on income generated by commercial activities, fundraising and marketing, and the generous donations of time and money made by volunteers, sponsors, LTM Friends and other supporters.

LONDON TRANSPORT MUSEUM (TRADING) LTD

The Museum's trading company operates retail, venue hire and other business activities to provide funds for the charity. This year, the company generated an accounting profit before tax of £1.1m which will be distributed to the Museum by way of Gift Aid. Online sales increased considerably as did venue hire and membership income. Unfortunately, retail sales at the Covent Garden shop fell, but initiatives were introduced to generate further income including a new LTM shop at South Kensington Tube station and a licensing deal to sell Museum posters at John Lewis stores in London and online. Further developments are planned for 2016/17.

MUSEUM RETAIL

Shop sales fell this year as changing visitor demographics affected sales of books and adult-orientated gifts. By contrast, toy sales were up 41 per cent on last year and the toy Tube train, toy Routemaster bus and City of London wooden train set were among the most popular products. To address the decline in sales a significant refurbishment of the Museum shop is scheduled for 2016/17.



E-COMMERCE

Online sales achieved record turnover this year in excess of £0.7m, an increase of 37 per cent over the previous year. Sales benefitted from a second collaboration with Fender guitars and specially commissioned working models of London Underground S stock trains which generated national press coverage. Significant investment was undertaken to improve the way the shop appears in search engine rankings and on mobile devices, and a major emphasis was put on customer communication with Twitter followers for @ltmuseumshop up 80 per cent, and email subscribers totalling more than 44,000. A weekly retail-focused newsletter has been highly successful in generating new sales.

CORPORATE HIRE

LTM welcomed more than 17,000 guests at more than 230 corporate venue hire events this year, and achieved significant growth in turnover and bottom line. In December, we worked with lighting and event production company, Light Motif, and entertainment company, Sternberg Clarke, to create Christmas party packages which proved a huge success.



MARKETING

2015/16 was an award winning year for the Museum. As well as the Heritage Railway Association giving our website an award for excellence, the Museum was a double winner in the Time Out Love London Awards when the Covent Garden Museum and Acton Depot were voted the best Culture Venue in their respective local areas by *Time Out* readers. In addition, our partnership with TfL Press Office to support 2014's Year of the Bus programme was recognised at the Public Relations Consultants Association National Awards where we won the Public Sector, Value for Money award.

Intensive press and PR activity during the year resulted in excellent coverage for the *Night Shift* and *Prize for Illustration* exhibitions. The relaunched, London by Design gallery was covered widely in specialist and general media, and a well-planned campaign ahead of the Acton Depot Open Weekend in September saw Museum staff appearing on BBC Radio London, helping us achieve record-breaking attendance figures. We established a marketing partnership with the riverboat operator MBNA Thames Clippers in 2015, and launched a joint riverboat/LTM discounted entry ticket.



INCOME AND SUPPORT

The new book *Mr Men in London* was launched at LTM in June and we negotiated for London Transport Museum to be included in the book as one of the destinations visited by these popular characters. In the summer we ran two weeks of Mr Men summer activities which helped to draw family audiences.

We are increasingly using social media to communicate with our audiences, and this year we expanded our use of Instagram, added 25 per cent more Twitter followers and 12,000 additional Facebook fans. We also secured Twitter 'verification' – a badge awarded to accounts offering highly sought-after content.

A major area of focus was growth in the email subscriber list. We entered into a partnership with an email marketing company to help develop our communications with supporters and have seen excellent results, especially for online shopping. We also began a project to improve our communications and tailor content to our audiences by pulling together the data that we have about our supporters from the online shop, ticket sales and newsletter subscriptions.







FUNDRAISING

The generous support of our funders helped us invest in our galleries, collections and people this year. Arts Council England (ACE) funding helped us deliver sector-leading work with apprentices and young people, develop new ways of collecting, and create a 'pop-up' shop in South Kensington Tube station. TfL and the DCMS/Wolfson Museums and Galleries Improvement Fund helped bring digital information to life through our updated Connections gallery which opened alongside the remodelled London by Design gallery funded by ACE and a TfL project grant.

The Museum's 1914 B type Battle Bus, restored thanks to the support of the London Transport Museum Friends and Heritage Lottery Fund (HLF), participated in an extensive HLF funded programme of events this year. HLF also supported Johnston Journeys, a two-year programme commemorating typographer Edward Johnston.

Longstanding supporter, the Luke Rees-Pulley Charitable Trust (LRPCT) generously provided funding for a number of projects including an Inspire Engineering apprentice post and props for the popular All Aboard family galleries.

TfL hosted the 10th annual Covent Garden Dinner and Auction in September 2015, raising a record £315,000. The then Mayor of London Boris Johnson MP, TfL Commissioner Mike Brown MVO, and Chairman of Network Rail, Sir Peter Hendy CBE were keynote speakers alongside 600 transport industry guests. We are grateful to those who contributed and bid in the lively charity auction once again overseen by James Knight from Bonhams.

The Museum's Patrons Circle scheme grew to 23 Patrons this year. The varied programme of events included a Severn Valley Railway driving experience courtesy of Patron Phil Swallow, and a steam journey on the Romney, Hythe & Dymchurch Railway thanks to Patron Paul Ross. Patrons also enjoyed a visit hosted by Wrightbus to its Ballymena factory.

We launched the Leyland buses appeal to help the Museum acquire three buses from the Sutcliffe Collection, and we are grateful to everyone who has contributed to this project, including the London Transport Museum Friends who are very important financial supporters of the Museum.

Notably, the Museum welcomed its first London Marathon runner this year when Mark Collier, an Operational Trainer for London Underground raised £1,900 for our Route into Work employability programme. Mark completed the course in three hours and 41 minutes.







CORPORATE SUPPORT

Building on the successes of Tube 150 and Year of the Bus, summer 2015 saw the start of Transported by Design, an 18-month programme of events and activities demonstrating how good design makes life in London better. The programme has been made possible thanks to the support of headline sponsor, Exterion Media, along with Bombardier, Atkins, Costain, Cubic Transportation Systems and BAE Systems.

Cubic Transportation Systems and Exterion Media also continued their support of two key Museum spaces – the Cubic Theatre and Foyer, and the Exterion Media Gallery. Siemens supported the Museum's Inspire Engineering programme for a second year, and Clear Channel UK entered a second year of sponsorship of Transport Poster Art which celebrates the rich legacy of poster design on the London Underground by commissioning exciting new work. Eversheds and Thales continued their support of the Museum's thought leadership programme under its new name Interchange.

The Corporate Membership scheme had its best ever year, generating more than £600,000 of unrestricted income. New members at Leader level included Stagecoach, ATOS IT Services UK and NSL, and at Member level we were joined by Atkins, BYD, Ericsson, First Class Partnerships, Interserve and M&C Saatchi. This year we celebrated 25 years of Corporate Membership and we are particularly grateful to Bombardier, Cubic Transportation Systems, CH2M, FirstGroup and Siemens who have been members since the scheme began.

We are also grateful to staff and apprentices at Metroline and Wrightbus who kindly supported the restoration of the MA1 hopper bus and the Gold Arrow DW bus respectively. MA1 was on display at Covent Garden during summer 2015.



LONDON TRANSPORT MUSEUM FRIENDS

The Museum's activities and public programmes are enthusiastically supported by the London Transport Museum Friends – an independent charity which provides LTM with volunteers and financial assistance, as well as arranging an extensive programme of meetings, visits and other activities for their members. Grants to the Museum from the Friends totalled some £79,000 this year including a donation of £20,000 to kick-start the Leyland buses appeal.

Volunteers from the Friends worked as guides for Hidden London, helped to run the Museum's heritage road and rail vehicles, and worked on key initiatives at Acton Depot including the Heritage Train Engineering project which uses part of a 1967 Tube stock car to demonstrate how Underground trains operate. The Friends also run and maintain the popular Acton Miniature Railway which celebrated its 10th anniversary in 2015.

VOLUNTEERS

We are extremely grateful to our talented team of volunteers. During 2015/16, volunteers contributed more than 20,000 hours to heritage vehicle events, learning programmes, collections development, Depot Open Weekends, and delivering the marvellous Hidden London tours. The growth of Hidden London meant we had to do our first large scale targeted volunteer recruitment. We took on 25 additional guides, many of whom are TfL employees volunteering in their spare time.

Thanks to museum resilience funding from Arts Council England, we are developing a strategic plan for volunteering, and we launched the LTM Volunteer Forum to gather feedback about the experience of volunteering and give participants a role in its development. The Museum has become a member of the National Council for Voluntary Organisations and set goals to raise volunteers' satisfaction levels, improve training and support, and grow the annual contribution to 28,000 hours.



Corporate Members

The Museum has a thriving Corporate Membership scheme and we are grateful to the following organisations for their support and enthusiasm

LEADER
Abellio
Alexander Dennis
Arriva London
Atos IT Services UK
Balfour Beatty Rail*
Bombardier Transportation UK*
Capita*
Colas Rail*
ComfortDelGro
Cubic Transportation Systems*
EPC
FirstGroup UK Bus*
GB Railfreight
Hitachi Rail Europe*
Imtech Traffic and Infra UK*
JBW Group
Keolis UK
Kier*
Marston Holdings
MBNA Thames Clippers
M J Quinn*
NSL
QBE Insurance
Ringway Jacobs*
Siemens*
Skanska
Stagecoach*
Swiss Re
telent Technology Services*
Thales UK*
Tower Transit Operations

DRIVER
CH2M
Go-Ahead Group*
HDI

MEMBER
2CV
Amey*
Atkins
BAM Nuttall
Bircham Dyson Bell*
BYD
Canary Wharf Group*
Capital & Counties Properties*
CityLink Telecommunications
Deloitte*
Ericsson
Eversheds*
Ferrovial Agroman
First Class Partnerships
Freshfields Bruckhaus Deringer
Gowling WLG*
Interserve*
M&C Saatchi
McNicholas
Morgan Sindall*
Mott MacDonald
Mountview House Group
PricewaterhouseCoopers
RATPDev
Sacker & Partners*
STM Security Group
Trapeze Group
Trueform Engineering
Vix Technology
Wrightbus*

HONORARY CORPORATE MEMBER
4-RAIL Services

*Thank you to all companies who purchased tables at the 2015 Covent Garden dinner and auction, including Alstom Transport, Ashurst, BAE Systems Applied Intelligence, BT Global Services, F M Conway, Herbert Smith Freehills, ISS, Telefonica 02.

Supporters and Sponsors

We would like to thank the following organisations and individuals for their support and generosity this year

MAJOR SUPPORTERS
Transport for London
Heritage Lottery Fund
Arts Council England
DCMS/Wolfson Foundation Museums and Galleries Improvement Fund
London Transport Museum Friends
Luke Rees-Pulley Charitable Trust
Garfield Weston Foundation

MUSEUM SPONSORS
Exterion Media* – Exterion Media Gallery
Cubic Transportation Systems* – Cubic Theatre and Foyer
Clear Channel UK* – Transport Poster Art
Siemens* – Inspire Engineering
Eversheds* – Interchange thought leadership programme
Thales UK* – Interchange thought leadership programme

Transported by Design sponsors
Exterion Media* – Headline Supporter
Bombardier Transportation UK*
Atkins
Costain*
Cubic Transportation Systems*

Galleries and infrastructure supporters
DCMS/Wolfson Foundation Museums and Galleries Improvement Fund
Arts Council England
Luke Rees-Pulley Charitable Trust
London Schools Excellence Fund
Optare
Royal Commission for the Exhibition of 1851
The Lord Mayor's Appeal

and with thanks to:
Imtech Traffic and Infra UK
McKenna Brothers
Go-Ahead London*

Thanks to all those who supported the Leyland bus appeal, in particular the Friends of London Transport Museum, Clive Bentley and Andy Griffiths.
Thanks also to supporters of the Battle Bus appeal, including Paul Ross.
And thanks to Mark Collier, LTM's Virgin Money London Marathon runner 2015/16.

PATRONS CIRCLE

Our Patrons share a love of London's unique transport and design heritage and are committed to the success of London Transport Museum's work.

In return for their vital support, Patrons Circle members are invited to take part in an unrivalled programme of events which include exclusive experiences, behind-the-scenes tours, and invitations to special events and exhibition previews.

HIGHLIGHTS OF THE 2015/16 PROGRAMME

- Severn Valley Railway driving experience
- Private view – *The Prize for Illustration 2015*
- Romney, Hythe & Dymchurch Railway visit
- Cab ride around the Northern line Kennington loop
- Trip to Bristol and Brunel's ss *Great Britain*
- Edgware Road signal cabin visit
- Wrightbus Routemaster factory tour in Ballymena

WE WOULD LIKE TO THANK ALL OUR PATRONS FOR THEIR GENEROUS SUPPORT

Ian Arthurton
David Buck
Paul Butler
Steve and Melanie Edge
Martin Elms
Sir Peter Hendy CBE
Adrian Hollands
Guy Marriott
Richard Meads MBE
Alan Moore
Tim O'Toole CBE
Richard and Sue Rees-Pulley
Ian Ross
Paul Ross
John Self OBE
Jaspal Singh
Mike and Pat Sutcliffe
Phil Swallow
Tony Vroon
Richard West
Nicholas Woolf





Richard West began volunteering at LTM in 2011. He was a steward for the Tube 150 steam runs in 2013 and is a tour guide at Acton Depot and for Hidden London. Richard is also one of the founding members of our Patrons Circle. Here he explains why he became a Patron:

Volunteering with the Museum has been an enjoyable and rewarding experience, and I often think that it has given me far more than I have given it!

With training and support from the Museum team I've delivered tours and even a talk in the Cubic Theatre – neither of which I would have been able to do before I started volunteering. I have helped deliver family tours at Acton Depot, assisted with the Inspire Engineering programme and supported family and schools activities at Covent Garden. I'm currently a tour guide at Acton and at a number of Hidden London venues.

I have had such an amazing time as an LTM volunteer that I wanted to give something back.

I thought the Patrons Circle programme looked great, and I haven't been let down – we've had some wonderful events and trips, and the Patrons are a very diverse and friendly group. There have been many highlights: we've had extended access and time at a number of Hidden London locations, a fantastic outing on the Romney, Hythe & Dymchurch Railway, and an amazing day on the Severn Valley Railway courtesy of Museum Trustee and fellow Patron, Phil Swallow, where we all got to drive a steam train and were fed and looked after royally.

I intend to continue as both a volunteer and a Patron for as long as I can.

To begin your Patrons Circle journey, visit
ltmuseum.co.uk/support-us/make-a-donation/patrons

Public programme

We run a popular and exciting programme of talks, tours, exhibitions and evening events that help us enrich our engagement with audiences.

With more than 450 tours and 11,000 participants, the Hidden London programme was a major part of this year's busy events schedule. Volunteers are an essential element of Hidden London, and also contribute greatly to our heritage vehicle operations as crew and stewards.

Depot tours were very popular this year and the Depot Open Weekend in September was the best ever, with more than 6,400 attendees. At Covent Garden we introduced special weekday sessions for the under-fives to encourage families to visit at off-peak times.

HIDDEN LONDON

12 June–5 July 2015	**Access All Areas: Charing Cross** Tours of non-operational underground areas including disused Jubilee line platforms and a construction tunnel
1–25 October 2015	**Subterranean Shelter: Clapham South station** Visitors ventured 180 steps down into this deep-level shelter to go back in time to see where Londoners sheltered from the Blitz
26 November–20 December 2015	**Churchill's Secret Station: Down Street** An intimate look into one of London's most intriguing hidden spaces that acted as a top-secret bunker during the Blitz
21 January–21 February 2016	**Aldwych Disused Station** A rare opportunity to explore this abandoned station which also sheltered Londoners during the Blitz
25 March–17 April 2016	**Access All Areas: Charing Cross** Tours of non-operational underground areas including disused Jubilee line platforms and a construction tunnel

FAMILY ACTIVITIES

April 2015–March 2016	**Props and Costumes** Weekend fun and family engagement with role play and dressing up in replica historical transport costumes
28 March–17 April 2015	**Storytime** Storytelling featuring Boysey the Rabbit and Monty Mole as they try to meet in London and keep missing each other
28 March–17 April 2015	**Animated London** Inspired by animals and vehicles in the Family Galleries, visitors could bring them to life with short stop-frame animation
23–31 May 2015	**All Aboard for Drawing** Visitors were invited to learn easy drawing tricks and create their most loved London places with collage, pens and pencils
6–7 June 2015	**Mr Men in London book launch weekend** Reading of the new Mr Men book in which the well-known characters visit London Transport Museum, catch a boat and take the Tube. There were also Mr Men craft activities
27 July–2 August; 15–23 August 2015	**Mr Men in London** Storytelling, craft activities and a Museum trail inspired by the new Mr Men book
3–9 August; 24–30 August 2015	**Adventure on the River** Interactive stories with an imaginary sailing trip in a Thames Nipper and boat-based craft activities
24 October–1 November 2015	**Nightowl** Storytelling and craft activities based on the Nightowl logo featured in the *Night Shift: London after Dark* exhibition
31 October 2015	**Special Education Needs: Early Explorers Morning** Early opening with Nightowl make and take activities
28 December 2015–3 January 2016	**Dreamtime: Storytime and Singalong** Drama, singing and stories for younger visitors, with make and take activities inspired by *Night Shift*
13–21 February 2016	**The Midnight Bus** Storytelling for and creative activities inspired by *Night Shift*
Tuesdays during termtime, September	**Singing and Stories for Under-5s** Special weekday sessions including singing and dancing for families with younger children

HERITAGE VEHICLE OUTINGS

7–13 April 2015	**Beamish Open Air Museum** Battle Bus B2737 in operation carrying the public on demonstration runs at the Great North Steam Fair
12 April 2015	**East Grinstead Country Bus Running Day** Unique rear-engined Routemaster FRM1 in public service on recreated route 424
19 April 2015	**London Bus Museum Spring Gathering** Red Arrow bus MBA582 on display and Routemaster RM1 in public service on a tour to Hampton Court
25–26 April 2015	**Acton Depot Open Weekend** RM1 and a heritage bus from the London Bus Company providing local tours
3 May 2015	**Historic Commercial Vehicle Society London-Brighton Run** Prototype Routemaster RM2 and B2737 on the annual London to Brighton run for historic commercial vehicles (B2737 won the cup for Best Military Vehicle)
4 May 2015	**Purfleet Heritage & Military Centre** B2737 at the launch of local buses operated by Ensignbus which have been named after local men listed on Purfleet War Memorial
7–9 May 2015	**Firepower, Woolwich Arsenal** B2737 driving from Purfleet to Woolwich, via the Woolwich Ferry, to be displayed at Firepower in Woolwich Arsenal as part of our outreach programme. Battle Bus exhibition vehicle also in attendance
24–25 May 2015	**Wrest Park, Luton** B2737 attending 'Wrest at War'
6 June 2015	**RCL2229 Anniversary Run** Our Green Line Routemaster coach operating over its old routes 721 and 722 from Aldgate to Brentwood/Corbets Tey and back to commemorate its 50th birthday
7 June 2015	**Hertford Country Bus Running Day** RM2 in free public service over route 310 between Hertford and Waltham Cross
20 June 2015	**Epsom Coaches' Open Day** RM2 on static display
25 June 2015	**Willington School, Wimbledon** Guided tours of Battle Bus B2737 for schoolchildren
28 June 2015	**London Bus Museum 'Seventies Summer'** Green Line RCL2229 on display

HERITAGE VEHICLE OUTINGS (CONTINUED)

1 July 2015	**HLF/DCMS Programme launch** B2737 at the Guards Memorial on Horse Guards Parade
2–4 July 2015	**Shuttleworth Collection** B2737 on public display at the military pageant held at Old Warden Aerodrome
11 July 2015	**Potters Bar Garage Open Day** Green Routemasters RM2 and RCL2229 on static display
15–19 July 2015	**Crich Tramway Village** Battle Bus B2737 on display and giving public demonstration rides at the 'Home Front during the Great War' event. Mobile exhibition vehicle also in attendance
2 August 2015	**Thames Valley 100** B2737 on display with other elderly restored buses outside Reading station as part of a running day to commemorate 100 years of the Thames Valley Traction Company
22 August 2015	**Imberbus** B2737 giving public demonstration runs as part of the annual Imberbus event
27 Aug– 1 Sept 2015	***ss Great Britain* and Bristol M Shed** B2737 on public display alongside ss *Great Britain* and on the quayside in Bristol Docks as part of a holiday weekend event
13 September 2015	**Amersham Heritage Day** Routemaster RCL2229 providing a free bus link between Amersham station and the Old Town in conjunction with heritage steam train operations on the Metropolitan line
19 September 2015	**Hull Streetlife Museum Big Bus Day** B2737 on public display at the Big Bus Day event (more than 1,000 visitors climbed the stairs to the upper deck during the day – one every 10 seconds!)
18 October 2015	**London Bus Museum TransportFest** 1935 Country bus Q55 celebrating its 80th birthday by meeting Q83, the only other London Transport Q type still existing. DMS1 also in attendance
29 October 2015	**Capital & Counties Properties (Capco) Poppy Launch** Battle Bus B2737 on display all day in Covent Garden Piazza
31 October 2015	**Regent Street display** K424 on display in Regent Street providing a contrast with a modern bus as part of TfL's exhibition foretelling the future for energy and emissions-friendly passenger vehicles
7 February 2016	**RM1 60th Anniversary** Prototype Routemaster RM1 travelling over its original route between Golders Green and Crystal Palace as the main guest on an anniversary road run and public display

EXHIBITIONS AND SPECIAL DISPLAYS

24 April–25 July 2015	**Poster Parade: Travel Etiquette. Don't. Please. Thank you.** Illustrative collaborations between TfL's Youth Travel Ambassadors programme and the Museum
25 July–23 October 2015	**Poster Parade: London in Summertime** Summer in the city with colourful and vibrant posters ranging from the 20th century to today
23 October 2015–29 January 2016	**Poster Parade: Electrifying London** The first electric Tube railway opened in 1890, heralding a revolution in London transport and nightlife: posters capture the moment
29 January–29 April 2016	**Poster Parade: Literary London** Playful ways designers have engaged with literature from the 20th century to the present day
From 1 February 2015	**Breakthrough: Crossrail's Tunnelling Journey** Displays including a five-metre high walk-through section of tunnel showing how Crossrail is being built under London's streets

MUSEUM DEPOT

April 2015–March 2016	**Depot Discovery Tours** General tour of the Depot's extensive collection of buses, trains, signs, maps, signalling equipment and more
25–26 April 2015	**Museum Depot Open Weekend: Transport Uncovered** Exploration of London's transport system past and present with talks, film screenings, heritage bus runs and demonstrations from the Emergency Response Unit. Aimed at families, the Engineering Academy provided challenges for budding engineers
May–October 2015	**Depot Family Tours** Special family tours highlighting a Victorian train carriage that was once somebody's home and an Underground train driven by the Queen
May 2015–February 2016	**Art and Poster Tours** Guided tours of our celebrated collection of 7,000 posters commissioned by London Transport, TfL and predecessor companies
26–27 September 2015	**Museum Depot Open Weekend: Design Uncovered** Visitors could uncover fascinating stories behind the design classics in our collection, and learn about the secrets of moquette and the first Tube map. Special activities were provided for families and children

BUS GARAGE OPEN DAYS AND TOURS

20 June 2015	**Epsom Garage Open Day** Celebrations at the 95th anniversary of Epsom Coaches with 200 stalls, family activities and visit from the Museum's RM2
11 July 2015	**Potters Bar Garage Open Day** Special day for the local community with a visit from the Museum's RM2 and RCL2229
5 September 2015	**Camberwell Garage Open Day** Local fun with the Safety and Citizenship team, a mini-exhibition: Women in transport since the First World War and buses K424, NS1995 and STL469
19 September 2015	**Willesden Garage Open Day** Local fun with the Safety and Citizenship team, a mini-exhibition: Women in transport since the First World War and buses STL469 and RM2
10 October 2015	**Westbourne Park Garage Open Day** Local fun with the Safety and Citizenship team, a mini-exhibition: Women in transport since the First World War, community storytellers, and Battle Bus B2737, RM2 and gold RT4712

TALKS, COMEDY AND OTHER EVENTS

9 June 2015	**London's first skyscraper** LTM Fellow Oliver Green talked about the history of 55 Broadway, St James's Park
13 June, 20 June 2015	**Holden goes west** Station architecture tour on the Piccadilly line exploring the style of Charles Holden
15 June 2015	**Friday Late: Places and Spaces** Opening celebrations for *Prize for Illustration 2015: London Places and Spaces* exhibition with live jazz, face painting, tours and pop-up postcard craft activities
14 July 2015	**Tubespotting** Geoff Marshall bringing back his comedy show about his love of London Underground
11 September 2015	**Friday Late: Night Shift** Celebrations for the launch of *Night Shift: London after Dark exhibition*
30 October 2015	**Friday Late: Make mine a double** Talks, craft activities and film screenings inspired by the *Night Shift* exhibition. Additional headline event Spirited London: Gin and the City took visitors through the long and chequered history of gin
11 November 2015	**Nightwalking** Talk by author Matthew Beaumont about past walkers of London's night streets
1 December 2015	**Piccadilly** The silent 1930s film *Piccadilly* accompanied by live piano played by Stephen Horne
23 January 2016	**Walking the Ginger Line with Iain Sinclair** Talk by author Iain Sinclair about his travels around London Overground in one day
12 February 2016	**Friday Late: Illuminate** Talks by lighting designer Florence Lam and night photographer Derek Ridgers, plus headline event Talk and Tasting: The Scent and Spirit of London exploring perfume and drinks through the last 100 years
23 February 2016	**The Man Who Branded London: Edward Johnston's Underground Typeface** Simon Garfield, author of *Just my Type*, talking about the Johnston Font
7 March 2016	**Contemporary collecting symposium: Looking back at the story so far** Half-day symposium on contemporary collecting work today and placing it in a longer historical context
23 March 2016	**Go West Young Man, the untold story of Edward Johnston** Andrew Johnston talking about his grandfather, the celebrated typographer



'Loved the DJ! The crafts were excellent and the life drawing was great.'

Visitor comment about Friday Late: Illuminate





Financial review

Following a year of substantially increased activity and a related increase in expenditure, the charity made an operating deficit of £0.3m in 2015/16. It was, however, a year of great achievement and we were able to establish the Hidden London programme, deliver significant capital improvements and set aside further funds to prepare for the next stage of the Museum's development.

The Museum ended the year with funds carried forward of £31.5m (2015: £31.8m) after recording net expenditure of £0.3m (2015: net income £1.1m). Of the Museum's total funds, the £24m Capital Fund (2015: £25.1m) represents the value of the Museum's fixed assets rather than liquid funds readily available for use. The Trustees have set aside £5.5m in a series of designated reserves (see below) and the Museum has £1.1m of general reserves which is equivalent to around four weeks of unrestricted expenditure.

Despite ongoing reductions in its revenue grant, TfL's support remains critical to the Museum. This year we received TfL project 'investment' grants to develop new retail outlets and improve the Museum's galleries, and TfL departments provided essential finance, payroll and HR services at no charge to LTM. Over the last few years the Museum has successfully developed its ability to raise revenue from other sources and income increased again this year with retail turnover, venue hire, admissions income and corporate memberships all higher than in 2014/15. Hidden London generated additional revenue but this was offset by the relative decline in income from steam train operation caused by maintenance issues taking the locomotive out of action for part of the year. The cost of developing Hidden London tours is high: overall, the programme broke even this year, but we are confident that it will become an important source of unrestricted funds as it develops in the future. Following the end of the Year of the Bus in 2014, commercial sponsorship income fell as expected, but nevertheless, significant sums were secured for the Museum's regular sponsorships and as part of the Transported by Design programme. Arts Council England, the Heritage Lottery Fund, and the London Transport Museum Friends all remain important funders.

Overall expenditure increased by 14 per cent this year, although the comparative 2014/15 figures were depressed due to the release of accruals for TfL central services which are no longer charged for. The costs of some of the development work necessary to raise income affected the bottom line as the costs of trading and fundraising increased. Although there was only one major exhibition in the year, work associated with the improvements to the London by Design and Connections galleries, and preparation for 2016/17's Designology exhibition, both had an impact. To deliver on our programmes, and support our development aspirations, we have taken on additional permanent, agency and freelance staff which has also affected the cost of operations.

RESERVES

The reserves policy is reviewed annually taking into account the Museum's plans, funding and general financial position, and having due regard to the guidance issued by the Charities Commission. The policy is reported to stakeholders via the Annual Report.

The charity has three types of reserves:

- General reserves are unrestricted funds which provide working capital and help deal with unplanned and unexpected expenditure or loss of funding.
- Designated funds are unrestricted funds set aside by the Trustees for a specific purpose.
- Restricted reserves are reserves which have been created when donors or funders restrict the use of funds for a particular purpose.

The Museum has no endowment funds. The Trustees are aware of initiatives such as the HLF Catalyst programme which encourage organisations to develop endowments through matched funding, and should such programmes be repeated in the future we would be keen to explore these kind of opportunities.

GENERAL RESERVES £1.1M

General unrestricted funds are those not designated or restricted to a particular purpose. £1.1m is equivalent to approximately four weeks of unrestricted operating expenditure and is in line with previous years. While no target range has been set, in assessing the level of reserves, the Trustees have had regard to LTM's diverse income streams and the importance of TfL funding and support.

DESIGNATED FUNDS

Trustees designate reserves for three main reasons:

- To enable the Museum to plan ahead for major exhibitions and educational programmes in advance of securing external sponsorship or other funding by setting aside funds to cover the cost of such activities should external income not become available.
- To contribute towards the cost of major asset renewals and other future capital expenditure associated with the Museum's premises, facilities and assets.
- To support the Museum's strategic development, in particular the need for periodic reinvestment on a large scale in the content and design of the Museum galleries.

There is £29.6m set aside in four key designated funds:

Future Exhibitions and Education Fund £0.5m

This Fund was established to give assurance that the Museum's next major exhibition can be delivered even if external sponsorship cannot be raised, enabling the Museum to plan ahead for long lead-time exhibitions and educational programmes by providing some level of cover for the costs of such activities. Fundraising lags expenditure and the Museum cannot wait until it raises all the funds for a project before committing to that project. However, the Fund will only be called upon should we be unable to raise external sponsorship. The target level for the Fund is set at £0.5m which is based on the full cost of one major exhibition and associated education programme. There were no calls on this Fund in 2015/16 as the Museum's learning and exhibition programmes secured the necessary income to undertake planned activities. As each exhibition is a unique proposition, based on a different aspect of the collection and of appeal to different potential funders, past experience of successful fundraising for previous exhibitions does not materially affect the prospects of fundraising for future exhibitions and therefore it is prudent to maintain this Fund at the target level.

Museum Asset Development Fund £1.6m

The Museum Asset Development Fund was established to set aside funds for repairs and renewals to the Museum's fixed assets, particularly the Acton Depot infrastructure and the 19th century listed buildings at Covent Garden. The Museum's capital expenditure needs are very variable and external capital grants can be difficult to secure. However, in recent years, specific grants have been made by TfL and others for particular projects, meaning the Museum has not had to call on this Fund as much as expected. This year, the Fund provided £0.4m towards the Museum's capital investment programme, leaving the Fund at £1.6m. The target range for this Fund is between £1m and £2m.

Museum Strategic Development Fund £3.5m

This Fund was created to help address the important strategic challenges facing the Museum, and in particular, to provide financial resources for the next major Museum refurbishment project. Periodic refits are required to ensure the Museum's long-term sustainability, keep LTM's galleries up to date, maintain a high quality visitor experience, incorporate the latest interactive technologies, and replace worn out or ageing infrastructure. The Museum at Covent Garden has been significantly refurbished twice since it opened in 1980 with the last one being completed in 2007 at a cost of over £20m. The Museum 2020 Fund was established in 2014/15 to build up a reserve to help deliver the next iteration of the Museum, and £2m was initially designated against this fund.

This year, the Trustees have expanded LTM's strategic priorities to include the Distributed Museum – a plan to develop activities at sites away from Covent Garden. A further £1.5m has been designated to support this aim, and the fund has been renamed the Museum Strategic Development Fund in order to recognise our widened ambitions for the future of the Museum, both at Covent Garden and beyond.

No targets have yet been set for this Fund, but the Trustees intend to designate additional reserves where possible to support the significant level of future expenditure that will be associated with a Museum redisplay in the next five to ten years, and any programme of expansion in the short term associated with the Distributed Museum initiative.

Capital Fund £24m

The majority of the Museum's fixed assets transferred to LTM from TfL on 1 April 2008. At this time, reserves equivalent to the balance sheet value of the assets were set aside in a designated fund as they do not represent funds readily available for other purposes. This Capital Fund is adjusted to include the value of asset purchases and disposals, and is written down annually by the value of the depreciation on the Museum's fixed assets. Transfers have been made in respect of the capital work undertaken this year to ensure that the Capital Fund represents the net book value of the Museum's tangible fixed assets.

RESTRICTED FUNDS £0.8M

The largest restricted fund is the Collections Development Fund (CDF) which was established in 2012 following the auction of 400 surplus posters. The Museums Accreditation scheme requires that the disposal of any collection object creates an obligation to spend the income in a way which benefits the remaining collection. Accordingly, the Collections Development Fund can only be used for acquisitions and conservation. In 2015/16, the CDF funded new acquisitions and restoration activity totalling £134k. This included the first set of payments for the Sutcliffe Collection vehicles (after a £38k contribution from the Leyland buses appeal).

The Heritage Lottery Fund, Arts Council England and DCMS/Wolfson Museums and Galleries Improvement Fund are all important supporters of LTM projects and programmes. Where the restricted funds supplied by these organisations only meet a proportion of project expenditure, transfers are made from general funds to meet the remaining cost. Details of these transfers, and of other minor restricted funds can be found in the notes to the financial statements.

INVESTMENT POLICY

It is the current policy of the Museum to invest surplus funds in short-term cash deposits within the UK.

RISK MANAGEMENT

The major risks to which the Museum is exposed are regularly reviewed and the Trustees' risk management strategy includes the following actions:

- Periodic risk reviews by the Managing Director and Senior Management Team, overseen by the Audit Committee.
- Annual review of risk and risk management by the Trustees.
- Maintenance of the Risk Map and Risk Register.
- Maintenance of systems and procedures to mitigate risks identified in the Risk Map and Risk Register.
- Maintenance of procedures designed to minimise any potential impact on the Museum should those risks materialise.
- Regular audits of Museum operations carried out by TfL's Internal Audit department.

The Museum's key risks are identified as those with a potential impact that is rated 'High' or 'Very High', and which have a 'High' or 'Very High' likelihood of occurring. Three risks fall into this category:

- Reduction in retail and commercial income.
- Increase in fixed costs – especially those associated with rental costs at Covent Garden.
- Employee morale – especially given recent changes to TfL pay bands and reward structures, and further proposed changes being discussed with Trades Unions.

To mitigate these risks, the Trustees and/or Management Team have undertaken the following actions:

- Created the Assistant Director - Commerce role to grow and develop traded income.
- Trialled new trading initiatives such as the 'pop-up' shop at South Kensington.
- Developed ambitious plans to refurbish and remerchandise the Museum shop.
- Recruited a property specialist to join the Board.
- Initiated the rent review process for the Museum's galleries to provide greater clarity and certainty around any possible increase.
- Proposed a new framework and consultative forum with trades unions.
- Maintained a Museum People Group to improve staff engagement.

Although a vote for Britain to leave the European Union is likely to have some effect upon the UK economy including exchange rates and tourism in London, it is too early to say if this presents significant risks to the Museum and its future operations.

History of the Museum

The Museum can trace its roots to the 1920s when the London General Omnibus Company (LGOC) decided to preserve a small collection of buses at Chiswick Works. The collection has since grown and developed, and is now at the heart of the world's leading museum of urban transport.

The London Passenger Transport Board inherited the LGOC collection in the 1930s and added further road and rail vehicles. Subsequently, the Museum of British Transport opened in Clapham in the 1960s, but closed when the collection was split up and mainline railway items were set aside for a new National Railway Museum in York. The remaining artefacts became the 'London Transport Collection' and were given a new home in a greenhouse at Syon Park. Conditions were less than ideal and some items were mothballed at operational bus garages.

The redevelopment of the former Covent Garden market provided an opportunity for a dedicated central London home for the collection and on 28 March 1980, the London Transport Museum was opened by HRH Princess Anne.

With just 1,000 items in the collection when we opened in 1980, the Museum now cares for more than 450,000 objects including trains, buses, trams, signs, photographs, posters, uniforms and other material. We still occupy the same Covent Garden building but it has been significantly refurbished twice with two further interior floors, a purpose-built lecture theatre, special exhibition galleries and multiple education spaces added. In 1999 we opened the Museum Depot at Acton, a dedicated storehouse in west London, where items not on display at Covent Garden are conserved and made publicly accessible through tours and open days.

LTM became a registered charity in 2008, with a Board of Trustees and a clear remit to deliver public benefit. Today we welcome more visitors than ever and deliver significant social benefit through our skills development and youth engagement programmes. The Museum's busy schedule now includes late-night openings, Depot Open Weekends, bus and steam train operations, Hidden London tours of disused stations, and an education function that engages nearly all Year 6 children in London each year.



Structure, governance and management

Legal status and governing documents

London Transport Museum Limited (LTM) is a registered charity incorporated on 6 February 2008 as a company limited by share. It is governed by its Memorandum and Articles of Association. Under the GLA Act 1999, Transport for London (TfL) has the power to provide and maintain a museum of transport artefacts, records and other exhibits. While it is common for charities to incorporate as companies limited by guarantee, the Transport for London (Specified Activities) Order 2000 requires TfL to carry out museum activities through a company limited by shares.

Under section 5.1 of the LTM Memorandum of Association, the property and funds of the Museum must be used only for promoting the objects and no dividend is payable to TfL.

LTM has a wholly owned subsidiary, London Transport Museum (Trading) Limited (LTMTL) which operates retail, corporate hire and other non-charitable activities to generate funds to further the Museum's objects. All the profits of LTMTL are distributed to LTM.

Organisation

The Museum is governed by a Board of Trustees, chaired by Sir David Bell. The Board meets four times a year for routine business and may convene other meetings as necessary to consider urgent issues. In addition, Trustees take part in an annual review of strategy. Day-to-day management of the Museum is delegated to the Managing Director, Sam Mullins, and through him to the Senior Management Team (SMT), employees and volunteers. The SMT is made up of five Assistant Director posts, each with distinct functional responsibilities.

The Trustees and SMT as a group are collectively considered to represent the 'key management personnel' of the charity – ie those persons having authority and responsibility for planning, directing and controlling the day-to-day activities of the charity.

LTMTL is governed by a Board of Directors which includes Museum Trustees and staff, and independent non-executive directors.

Trustees

There are up to thirteen Trustees, three of whom are nominated by TfL and may be members, officers or employees of TfL or the Greater London Assembly. The Managing Director of LTM is automatically a Trustee by virtue of his office, and there are up to nine independent Trustees unconnected with TfL. The Board has established a Nominations Committee to offer advice and make recommendations regarding the appointment of independent Trustees. We use personal recommendation and external search to recruit Trustees with expertise and experience that will support the strategy and operation of the Museum in areas such as community outreach, education, museum practice, commercial transportation, finance and governance, retail operations and public relations.

Trustees serve a three-year term following which they may be elected for another three years. The Articles of Association make allowance for a second extension of up to three more years in exceptional circumstances. Other than the Managing Director, who is an employee of LTM, the Trustees receive no remuneration but TfL offers Trustees (and non-executive Directors of LTMTL) certain travel concessions. If these are not sufficient, Trustees may claim travel expenses for attending meetings.

Linda Chandler resigned from the Board in May 2015 when she was offered a position abroad. We are very grateful to Linda for her contribution to the Museum and were sorry to see her leave.

Also during the year Sir Peter Hendy stepped down as a TfL nominated Trustee when he took up a new role as Chair of Network Rail. He was subsequently invited to join the Board as an independent Trustee, and the Museum continues to benefit from his expertise in governance, the transport sector and heritage operations.

The vacant TfL nominee position was filled by Michèle Dix who joined the Board in November 2015. Michèle is Managing Director for Crossrail 2, a visiting professor for UCL and a major figure in the International Association of Public Transport which promotes public transport research and best practice globally.

We were also joined this year by Andy Rothery, a real estate professional with twenty-seven years of industry experience who is also a Freeman of the Leathersellers Livery Company in London, Foundation Governor of the Prendergast Federation of five inner city state schools in Lewisham, and Chair of Trustees of the Florence Trust, a London based Contemporary Arts organisation.

At 31 March 2016, there were thirteen Trustees.

Trustee induction and training

New Trustees undergo an orientation programme to brief them on their obligations under charity and company law, the content of the Memorandum and Articles of Association, the committee and decision-making processes, the business plan and recent performance of the Museum. During their induction they are invited to spend time with the LTM Managing Director and meet senior staff, and are provided with relevant reference material.

Committees

The Board of Trustees has four committees:

- The Audit Committee assists and advises the Board of Trustees of LTM and the Directors of LTMTL on audit matters, oversees the relationship with TfL Internal Audit and external auditors, and oversees the Museum's risk management process. The committee's activities include detailed review of the Annual Accounts and consideration of Internal Audit Reports.
- The Finance Committee assists and advises the Trustees on issues relating to financial matters including financial objectives, financial strategy, budgeting and reporting. The committee reviews budgets and plans, and scrutinises performance information including management accounts.
- The Nominations Committee advises the Board on issues relating to the mix of skills represented by the Board, succession planning for Trustees, and Trustee recruitment. In particular, the committee makes recommendations to the Board regarding the appointment of independent Trustees.
- The Remuneration Committee reviews the level and structure of remuneration for the Chief Executive and other members of LTM's Senior Management Team on behalf of the Board.

Relationship with TfL

A series of written agreements exists between TfL and LTM which sets out the framework for the continued provision and maintenance of the Museum, the operation and funding of LTM, and the long-term relationship of the parties. Items in the Museum collection are subject to a loan agreement between the Museum and TfL.

The Museum receives support from parts of the TfL Group such as Finance, Human Resources (HR), Internal Audit and Payroll, and is given access to TfL assets such as disused stations. Further details can be found in the Notes to the Financial Statements. The Museum generally adopts TfL's HR, Procurement and other policies unless a Museum-specific policy has been agreed by the Board and takes precedence. Examples of Museum policies include safeguarding, reserves, and sponsorship.

Employment policies

At the end of March 2016, the Museum employed 103 people.

The Museum is part of the TfL Framework for Consultation and Collective Bargaining. Pay negotiations for the majority of staff are conducted between the TfL Company Council for Collective Bargaining and the recognised trades unions which are the National Union of Rail, Maritime and Transport Workers (RMT) and the Transport Salaried Staff Association (TSSA). The Museum has proposed an appendix to the TfL Framework that would devolve greater responsibility for consultation and collective bargaining to Museum management working with local TU representatives. The appendix is currently being consulted upon with a view to implementation in 2016/17.

Pay and remuneration of the charity's key management personnel is subject to the TfL Senior Management Reward Framework which uses base pay to recognise an individual's overall value to the organisation in relation to internal and external job markets and Performance Awards to reward individual contribution within the overall context of Organisation and Business Unit performance. The framework is underpinned by TfL's Performance Management and Competency frameworks, linking performance and behavioural assessment directly with pay and performance awards. Pay and remuneration of the charity's key management personnel is overseen by the Remuneration Committee.

As part of the TfL group, Museum staff receive free or discounted travel on public transport services operated by TfL.

Charitable objectives and public benefit

When reviewing the Museum's aims, objectives and achievements, and in planning future activities, the Trustees of LTM have had due regard to the public benefit guidance published by the Charity Commission. We believe that LTM upholds the principles of public benefit against the two key aspects established by the Charity Commission:

(1) Benefit aspect: That the Museum has beneficial purposes and that any detriment or harm that results from those purposes does not outweigh the benefit.

LTM's purposes as a charity are to advance the heritage of transport in London and to educate the public about the history of transport in London through the provision, operation and maintenance of a transport museum for the public benefit. LTM also seeks to educate the public about the wide role of transport in the life and work of London past, present and future, and to help develop the skills and employability of our beneficiaries, particularly in regard to transport and engineering.

The Museum provides clear and identifiable benefits to the public in three categories of activity: access and museum operations, education and engagement, and heritage and collections. Details of our achievements in these areas can be found in the Strategic Report.

LTM does no harm or detriment through its charitable activities. The health and safety of staff and visitors are taken very seriously and the Museum operates safety management systems to reduce and manage risks. We seek to manage our impact on the environment and we use photovoltaic solar panels on the Museum roof to generate around 2% of the annual electricity requirement.

(2) Public aspect: That the Museum delivers benefits to the public in general, and that these benefits are not unduly restricted and do not give rise to more than incidental personal benefit.

LTM delivers benefits to visitors at the Museum in Covent Garden and the Depot in Acton, to users of our website, and to schoolchildren and audiences across Greater London who take part in our educational, community and engagement activities. Our audience development and community outreach work engages with people who would not normally visit museums and galleries. The Museum at Covent Garden is fully accessible and welcomes visitors on all but two days of the year.

Our visitors come from across London and the world. We take our heritage vehicles out onto the roads and rails, make historic disused stations publicly accessible, visit schools and work with local communities across the Capital. We also loan objects to other institutions to extend our reach and increase access to our collections. Our comprehensive, free, online resources include access to information about exhibits in our main gallery as well as thousands of objects not normally on public display.

Although the Museum charges admission fees, various measures are taken to ensure that charges do not unduly restrict access to the collection. These include free entry to the Museum for anyone aged 17 or under, and for carers accompanying disabled visitors. Reduced admission charges apply to senior citizens, students and those in receipt of state benefit assistance. Most Museum admission tickets are valid for one year to encourage return visits and increase value for money for visitors. Many of the Museum's outreach programmes are free for participants. The Safety and Citizenship and Youth Travel Ambassador programmes engage with over 100,000 pupils each year and are delivered at no cost to the schools taking part.

Where the Museum delivers private benefits to individuals or companies, these are subject to appropriate commercial arrangements undertaken through a subsidiary company to generate funds for the Museum. No LTM or TfL staff receive private benefit other than in an incidental way and, with the exception of Sam Mullins who receives a salary in respect of his position as the Museum's Managing Director, the Board receive no payments for their role as Trustees of the Museum.

Relationship with other charities and organisations

The Museum is an instinctively collaborative organisation that seeks to work with like-minded partners from the private, public, educational and not-for-profit sectors to achieve mutually beneficial goals and enhance the delivery of public benefit. A list of our education and engagement partnerships can be found in the Strategic Report.

Disclosure of information to auditors

The Trustees who held office at the date of approval of this Trustees' Report confirm that, so far as they are each aware, there is no relevant audit information of which the Museum's auditors are unaware; and each Trustee has taken all the steps that they ought to have taken as a Trustee to make themselves aware of any relevant information and to establish that the Museum's auditors are aware of that information.

Trustees' statement

Statement of responsibilities of the Trustees of London Transport Museum Limited in respect of the Trustees' annual report and the financial statements

The trustees are responsible for preparing the Strategic Report, the Trustees' Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Trustees to prepare financial statements for each financial year. Under that law they have are required to prepare the group and parent company financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

Under company law the Trustees must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and charitable company and of the group's excess of expenditure over income for that period. In preparing each of the group and charitable company financial statements, the Trustees are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and the charitable company will continue its activities.

The Trustees are responsible for keeping adequate accounting records that are sufficient to show and explain the charitable company's transactions and disclose with reasonable accuracy at any time the financial position of the charitable company and enable them to ensure that its financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and to prevent and detect fraud and other irregularities.

This report was approved by the Board of Trustees and signed on 24 August 2016 on its behalf by



Sam Mullins, Managing Director
London Transport Museum Limited
Company registration number 6495761
Charity number 1123122

Trustees and advisors

DIRECTORS AND TRUSTEES
The Directors of the charitable company are its Trustees for the purpose of charity law and throughout this report are collectively referred to as the Trustees.

BOARD OF TRUSTEES
Sir David Bell (Chair)
Linda Chandler (to 15 May 2015)
Roger Cooke
Michèle Dix* (from 5 November 2015)
Vernon Everitt*
Sir Peter Hendy (to 17 August 2015 as TfL nominee, reappointed 5 November 2015)
Penny Johnson
Keith Ludeman
Angela McConville
Terry Morgan CBE
Sam Mullins (Managing Director)
Andy Rothery (from 15 December 2015)
Phil Swallow
David Worthington

AUDIT COMMITTEE
Sir David Bell
Roger Cooke (Chair)
Keith Ludeman
Phil Swallow

FINANCE COMMITTEE
Sir David Bell (Chair)
Roger Cooke
Keith Ludeman
Angela McConville
David Worthington

NOMINATIONS COMMITTEE
Sir David Bell (Chair)
Vernon Everitt
Angela McConville

REMUNERATION COMMITTEE
Sir David Bell (Chair)
Vernon Everitt
Penny Johnson

COMPANY SECRETARY
Howard Carter

MUSEUM SENIOR MANAGEMENT TEAM
David Burns - Assistant Director: Commercial (on attachment from TfL)
Chris Gilbert - Assistant Director: Business and Performance
Chris Nix - Assistant Director: Collections and Engagement
Janette Palmer - Assistant Director: Visitor Services (interim)
Geoff Rowe - Assistant Director: Visitor Services (interim)
Wesley Salton - Assistant Director: Marketing & Development (maternity cover)
Claire Williamson - Assistant Director: Marketing & Development (maternity leave)

DIRECTORS OF LONDON TRANSPORT MUSEUM (TRADING) LIMITED
Roger Cooke
Chris Gilbert
Angela McConville
Sam Mullins
Randeep Sidhu
Michael Walton
Peter Williams
Claire Williamson
David Worthington (Chair)

PRINCIPAL BANKERS
HSBC
8 Victoria Street
London SW1H 0NJ

AUDITORS
KPMG LLP
Chartered Accountants
15 Canada Square
London
E14 5GL

PRINCIPAL LEGAL ADVISERS
TfL In-House Legal Department
6th Floor Windsor House
42–50 Victoria Street
London SW1H 0TL

Independent auditor's report

Independent auditor's report to the shareholder of London Transport Museum Limited

We have audited the financial statements of London Transport Museum Limited for the year ended 31 March 2016 set out on pages 76 to 88. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

This report is made solely to the charitable company's shareholder in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the charitable company's shareholder those matters we are required to state to the shareholder in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the charitable company and its shareholder, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of Trustees and auditor

As explained more fully in the Statement of Trustees' Responsibilities set out on page 72, the Trustees (who are also the directors of the charitable company for the purposes of company law) are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the charitable company's affairs as at 31 March 2016 and of the group's incoming resources and application of resources, including its income and expenditure, for the year then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the Companies Act 2006.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information in the Strategic Report and Trustees' Annual Report, which constitutes the Directors' Report, for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- the charitable company has not kept adequate accounting records or returns adequate for our audit have not been received from branches not visited by us; or
- the charitable company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Trustees' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.



Ian Pennington (Senior Statutory Auditor)
for and on behalf of KPMG LLP,
Statutory Auditor.

Chartered Accountants,
15 Canada Square,
London
E14 5GL

24 August 2016

Financial Statements

Consolidated statement of financial activities

Including income and expenditure account - Year ended 31 March 2016

	NOTE	Unrestricted Funds 2016	*Unrestricted Funds 2015*	Restricted Funds 2016	*Restricted Funds 2015*	Total Funds 2016	*Total Funds 2015*
INCOME FROM:		**£000**	***£000***	**£000**	***£000***	**£000**	***£000***
Donations, grants and fundraising							
Core grants		5,305	*5,544*	-	-	**5,305**	*5,544*
Other grants and donations		856	*522*	38	-	**894**	*522*
	5	6,161	*6,066*	38	-	**6,199**	*6,066*
Charitable activities							
Education and engagement		1,756	*1,651*	173	*203*	**1,929**	*1,854*
Access and museum operations		2,507	*2,138*	186	*355*	**2,693**	*2,493*
Heritage and collections		79	*25*	174	*192*	**253**	*217*
	6	4,342	*3,814*	533	*750*	**4,875**	*4,564*
Commercial activities	7	4,374	*4,453*	-	-	**4,374**	*4,453*
Other income		6	-	131	-	**137**	-
Investments (bank interest)		14	*9*	-	*3*	**14**	*12*
Total income		**14,897**	***14,342***	**702**	***753***	**15,599**	***15,095***
EXPENDITURE ON:							
Raising funds							
Trading operations		3,254	*3,028*	25	-	**3,279**	*3,028*
Other fundraising activities		832	*838*	143	-	**975**	*838*
	9a	4,086	*3,866*	168	-	**4,254**	*3,866*
Charitable activities							
Education and engagement		4,513	*4,320*	174	*254*	**4,687**	*4,574*
Access and museum operations		4,269	*3,437*	48	*48*	**4,317**	*3,485*
Heritage and collections		2,225	*1,678*	374	*357*	**2,599**	*2,035*
	9a	11,007	*9,435*	596	*659*	**11,603**	*10,094*
Total expenditure	9a	**15,093**	***13,301***	**764**	***659***	**15,857**	***13,960***
Net (expenditure)/income		**(196)**	*1,041*	**(62)**	*94*	**(258)**	***1,135***
Transfers between funds	17	(22)	*73*	22	*(73)*	**-**	-
Net movement of funds in year		**(218)**	***1,114***	**(40)**	***21***	**(258)**	***1,135***
Reconciliation of funds							
Total funds brought forward		30,909	*29,795*	868	*847*	**31,777**	*30,642*
Total funds carried forward	17	**30,691**	***30,909***	**828**	***868***	**31,519**	***31,777***

Balance sheets

As at 31 March 2016

	NOTE	2016 Group	2015 Group	2016 Museum	2015 Museum
		£000	£000	£000	£000
Tangible fixed assets	13	**24,043**	*25,097*	**24,043**	*25,097*
Current assets					
Stock		**977**	*765*	**-**	-
Debtors	14	**1,831**	*1,071*	**2,226**	*1,941*
Cash	15	**6,799**	*7,333*	**6,363**	*6,372*
		9,607	*9,169*	**8,589**	*8,313*
Creditors					
Falling due within one year	16a	**(2,131)**	*(2,489)*	**(1,113)**	*(1,633)*
		(2,131)	*(2,489)*	**(1,113)**	*(1,633)*
Net current assets		**7,476**	*6,680*	**7,476**	*6,680*
Total assets less current liabilities		**31,519**	*31,777*	**31,519**	*31,777*
Net assets		**31,519**	*31,777*	**31,519**	*31,777*
Represented by					
Restricted funds	17a	**828**	*868*	**828**	*868*
Called up share capital	19	**-**	-	**-**	-
Unrestricted funds					
Designated funds					
Capital Fund		**24,043**	*25,097*	**24,043**	*25,097*
Future Exhibitions and Education Fund		**500**	*500*	**500**	*500*
Museum Asset Development Fund		**1,559**	*2,000*	**1,559**	*2,000*
Museum Strategic Development Fund		**3,500**	*2,000*	**3,500**	*2,000*
General unrestricted fund		**1,089**	*1,312*	**1,089**	*1,312*
	17a	**30,691**	*30,909*	**30,691**	*30,909*
Total		**31,519**	***31,777***	**31,519**	***31,777***

These financial statements were approved by the Trustees on 24 August 2016 and signed on their behalf by:

Sam Mullins, Managing Director, London Transport Museum, Company registration number 6495761

The notes on pages 77-88 form part of these accounts.

Notes to the financial statements

1. BASIS OF PREPARATION

a) Statement of compliance

The financial statements have been prepared in accordance with:

- the Companies Act 2006
- the Charities Act 2011
- Accounting and Reporting by Charities: Statement of Recommended Practice (SORP 2015)
- United Kingdom Accounting Standards and generally accepted accounting practice, including Financial Reporting Standard 102 (FRS 102), the Financial Reporting Standard applicable in the United Kingdom and the Republic of Ireland. This is the first year in which the financial statements have been prepared under FRS 102. Refer to note 4 for an explanation of the transition.

b) Basis of measurement

The accounts are made up to 31 March and have been prepared under the accruals concept and in accordance with the historical cost accounting convention.

The Trustees have a reasonable expectation that the charitable company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, the Trustees continue to adopt the ongoing concern basis in preparing the annual report and accounts.

The financial statements have been prepared to give a 'true and fair' view and have departed from the Charities (Accounts and Reports) Regulations 2008 only to the extent required to provide a 'true and fair' view. This departure has involved following SORP 2015 issued on 16 July 2014 rather than the preceding Charities SORP (SORP 2005) which was effective from 1 April 2005 and has since been withdrawn.

The principal accounting policies adopted in the preparation of the financial statements are set out below.

c) Group financial statements

These financial statements consolidate the results of the Museum charity and its wholly owned subsidiary London Transport Museum (Trading) Limited (LTMTL) on a line by line basis. Neither a separate statement of financial activities nor an income and expenditure account are presented for the Museum charity itself following the exemptions afforded by section 408 of the Companies Act 2006.

Notes to the financial statements *(continued)*

2. USES OF ESTIMATES AND JUDGEMENTS

The preparation of Financial Statements in compliance with UK accounting standards requires the use of certain critical accounting estimates. It also requires Trustees and management to exercise judgement in applying the Museum's accounting policies.

Items in the financial statements where these judgments and estimates have been made include amounts for goods, facilities and services donated for the Museum's use. Where the benefit is quantifiable and the goods and services would otherwise have had to be purchased, such items are recognised in the financial statements as both income and expenditure at a reasonable estimate of their value to the charity in the period in which they are donated.

As per SORP 2015 section 1.38, measurement issues including the difficulty in attributing an economic value to the contribution of general volunteers, prevent the value of services provided by volunteers being incorporated into these financial statements. Further details of the contribution made by volunteers can be found in the body of the Trustees' Annual Report.

The most significant judgment and estimate in the accounts is the value placed on the net assets transferred from TfL under the Transfer Scheme at 1 April 2008 when the charity was formed. These assets were valued at £28.74m, this being the written down value of the assets in the accounts of TfL as at 31 March 2008. An estimate has also been made for Gift Aid claims not yet submitted.

As at 31 March 2016, no estimates or assumptions made are considered to have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

3. ACCOUNTING POLICIES

a) Income

Income is included in the Statement of Financial Activities when all of the following criteria are met:

- control over the rights or other access to the economic benefit has passed to the Museum ('entitlement')
- it is more likely than not that the economic benefits associated with the transaction or gift will flow to the Museum ('probable')
- the monetary value or amount of the income can be measured reliably and the costs incurred for the transaction and the costs to complete the transaction can be measured reliably ('measurement').

Income from donations, grants and fundraising includes items that provide core funding or are of a general nature. These are recognised upon receipt. Such income would only be deferred when:

- The donor specifies that the grant or donation must only be used in future accounting periods; or
- The donor has imposed conditions which must be met before the Museum has unconditional entitlement.

Income from corporate supporter memberships, commercial trading, sponsorships and other similar activities where benefits are delivered by the Museum is recognised as the related goods and services are provided. Investment income is recognised on a receivable basis.

Income from charitable activities includes income received under contract or where entitlement to grant funding is subject to specific performance conditions which is recognised as the related goods or services are provided.

b) Expenditure

All expenditure (except capital expenditure) is included in the Statement of Financial Activities inclusive of any irrecoverable VAT. Expenditure is recognised when a liability is incurred and is classified under the following principal categories:

- Costs of raising funds includes the costs of commercial trading and the operating costs of the fund-raising department.
- Costs of charitable activities include expenditure associated with the operation of the Museum and its educational and public programmes, and the management and development of the Museum's collections and exhibitions.

Where costs relate directly to an activity they have been allocated against that activity. Support costs that relate to more than one activity have been allocated to activity cost categories on the basis of staff numbers in each area of activity (see Note 9).

Notes to the financial statements *(continued)*

c) Tangible fixed assets
Individual fixed assets over £10,000 are capitalised at cost.
Tangible fixed assets are depreciated on a straight line basis over their estimated useful lives as follows:

Plant and equipment	3–10 years
Buildings and refurbishments	10–35 years

Structural improvements to the fabric of the Museum at Covent Garden are depreciated over the remaining life of the lease for the building (28 years). Other building work is capitalised where it is considered that future economic benefits in excess of the originally assessed standard of performance will flow as a result of that work.

d) Heritage assets
Heritage assets are those assets of historical, artistic or scientific importance that are held to advance the preservation, conservation and educational objects of the Museum. The Museum collections consist of over 475,000 items which are on loan from TfL. Assets on loan are not capitalised within these financial statements although expenditure relating to their use and maintenance is included in the Statement of Financial Activities.

e) Operating leases
Costs relating to operating leases are charged to the Statement of Financial Activities on a straight line basis over the life of the lease.

f) Stock
Stock is valued at the lower of cost or net realisable value.

g) Funds structure
Restricted funds are funds to be used for particular purposes laid down by the donors or which have been raised for a specific purpose.

Unrestricted funds are funds available for use at the discretion of the Trustees in furtherance of the Museum's charitable objectives.

Designated funds comprise unrestricted funds that have been set aside by the Trustees for particular purposes.

The purposes and uses of the funds held in each of these categories are given in Note 17.

h) Pensions
The Museum participates in a pension scheme operated by TfL providing benefits based on final pensionable pay. The assets of the scheme are held separately from those of the Museum. The charity is unable to identify its share of the underlying assets and liabilities of the scheme on a consistent and reasonable basis and therefore, as permitted by the multi-employer exemption in section 28 of FRS 102, it is accounted for as if it were a defined contribution scheme. As a result, the amount charged to the Statement of Financial Activities represents the contributions payable to the scheme in respect of the accounting period. The disclosures required under FRS 102 are given in Note 20.

i) Related party transactions
Except in so far as disclosed in Note 21, the Museum has taken advantage of the exemption set out in section 33 of FRS 102 not to disclose any transactions with other TfL Group undertakings.

j) Taxation
The Museum is considered to pass the tests set out in Paragraph 1 Schedule 6 Finance Act 2010 and therefore it meets the definition of a charitable company for UK corporation tax purposes. Accordingly, the charity is potentially exempt from taxation in respect of income or capital gains received within categories covered by Chapter 3 Part 11 Corporation Tax Act 2010 or Section 256 of the Taxation of Chargeable Gains Act 1992, to the extent that such income or gains are applied exclusively to charitable purposes.

k) Cash flow
The Museum has taken advantage of the exemption, under FRS 102 paragraph 1.12(b), from preparing a statement of cash flows, on the basis that it is a wholly owned subsidiary undertaking of Transport Trading Limited and its cash flows are included within the consolidated financial statements of that company which are publicly available.

l) Financial instruments
Financial assets held by the Museum are classified as 'loans and debtors' within the scope of sections 11 and 12 of FRS 102.

Financial liabilities within the scope of sections 11 and 12 of FRS 102 are classified as financial liabilities measured at amortised cost.

The Museum determines the classification of its financial instruments at initial recognition and re-evaluates this designation at each financial year end. When financial instruments are recognised initially, they are measured at fair value, being the transaction price plus any directly attributable transactional costs. The subsequent measurement of financial instruments depends on their classification as follows:

Notes to the financial statements *(continued)*

Trade and other debtors

Trade and other debtors are recognised initially at fair value and subsequently at amortised cost. For trade debtors this is after an allowance for estimated impairment. The allowance is based on objective evidence that the Museum will not be able to recover all amounts due, through a review of all accounts and prior experience of collecting outstanding balances. Changes in the carrying amount of the allowance are recognised in the Statement of Financial Activities.

The fair value of trade and other debtors is estimated as the present value of future cash flows, discounted at the market rate of interest at the reporting date. This fair value is determined for disclosure purposes.

Cash and cash equivalents

Cash at bank and in hand comprises cash balances and bank deposits with original maturities of less than or equal to three months.

Trade creditors and other payables

Trade creditors and other payables are recognised initially at fair value and subsequently at amortised cost using the effective interest method.

4. TRANSITION TO FRS 102

The Museum has adopted FRS 102 for the year ended 31 March 2016. In preparing the accounts, the Trustees have considered the impact of the accounting policies required by FRS 102 and SORP 2015 and whether the restatement of any comparative items was required. Under FRS 102, the Museum is required to accrue for all short-term compensated absences as holiday entitlement earned but not taken at the date of the statement of financial position.

At the date of transition in applying the requirement to recognise liabilities arising from employee benefits, a holiday pay accrual was recognised for short-term compensated absence arising from employee entitlement of the parent charity to paid annual leave. The initial liability was for £98,000 (as noted in the Annual Report for 2014/15).

In accordance with the requirements of FRS 102 a reconciliation of opening balances is provided below:

Reconciliation of group funds and balances	1 April 2015 £000
Fund balances as previously stated	31,875
Holiday pay accrual	(98)
Fund balances as restated	**31,777**

5. DONATIONS & FUNDRAISING

	2016 Unrestricted £000	2016 Restricted £000	2016 Total £000	*2015 Total £000*
Core grant from TfL	5,305	-	**5,305**	*5,544*
Donated central services from TfL	275	-	**275**	*271*
Donations				
Benefit dinner	326	-	**326**	*-*
Donations, grants and Gift Aid	255	38	**293**	*251*
Total	**6,161**	**38**	**6,199**	***6,066***

6. INCOME FROM CHARITABLE ACTIVITIES

(a) Analysis by source of income

Group and Museum	2016 Unrestricted £000	2016 Restricted £000	2016 Total £000	*2015 Total £000*
Museum admissions	2,146	-	**2,146**	*1,822*
Safety and Citizenship income	1,255	-	**1,255**	*1,140*
Arts Council funding	-	181	**181**	*392*
Heritage vehicle events and station tours	335	-	**335**	*307*
Battle Bus project	-	111	**111**	*191*
Grants for youth engagement activity	395	-	**395**	*348*
Grants for skills and employability activities	31	8	**39**	*89*
Grants for exhibitions	31	-	**31**	*-*
Luke Rees-Pulley Charitable Trust grants	-	47	**47**	*25*
Other miscellaneous charitable income	149	186	**335**	*250*
Total	**4,342**	**533**	**4,875**	***4,564***

b) Analysis by type of charitable activity

Group and Museum	2016 Education and engagement £000	2016 Access and museum operations £000	2016 Heritage and collections £000	2016 Total £000	*2015 Total £000*
Museum admissions	-	2,146	-	**2,146**	*1,822*
Safety and Citizenship income	1,255	-	-	**1,255**	*1,140*
Arts Council funding	86	25	70	**181**	*392*
Heritage vehicle events and station tours	-	335	-	**335**	*307*
Battle Bus project	32	-	79	**111**	*191*
Grants for youth engagement activity	395	-	-	**395**	*348*
Grants for skills and employability activities	39	-	-	39	*89*
Grants for exhibitions	-	-	31	**31**	-
Luke Rees-Pulley Charitable Trust grants	47	-	-	**47**	*25*
Other miscellaneous charitable income	**75**	187	**73**	**335**	*250*
Total	**1,929**	**2,693**	**253**	**4,875**	***4,564***

7. COMMERCIAL ACTIVITIES

	2016 Unrestricted £000	2016 Restricted £000	2016 Total £000	*2015 Total £000*
Retail sales	2,542	-	**2,542**	*2,390*
Other trading activities				
Corporate hire	705	-	**705**	*519*
Catering income	41	-	**41**	*38*
Commercial sponsorships	399	-	**399**	*637*
Coroporate memberships	626	-	**626**	*792*
Other miscellaneous income	61	-	**61**	*77*
Total	**4,374**	**-**	**4,374**	***4,453***

8. OTHER INCOME

	2016 - Unrestricted £000	2016 Restricted £000	2016 Total £000	2015 Total £000
Arts Council resilience grants	-	131	131	-
Other miscellaneous income	6	-	6	**-**
Total	**6**	**131**	**137**	**-**

Notes to the financial statements *(continued)*

9. EXPENDITURE

(a) Direct and apportioned costs

	2016 Direct costs	2016 Apportioned support costs	2016 Total	*2015 Total*
	£000	£000	£000	*£000*
Cost of goods sold	1,080	-	**1,080**	*1,072*
Other trading subsidiary costs	2,199	-	**2,199**	*1,956*
Other fundraising activities	413	562	**975**	*838*
Costs of raising funds	3,692	562	**4,254**	*3,866*
Education and engagement	2,079	2,608	**4,687**	*4,574*
Access and museum operations	2,091	2,226	**4,317**	*3,485*
Heritage and collections	1,408	1,191	**2,599**	*2,035*
Charitable activities	5,578	6,025	**11,603**	*10,094*
Total	**9,270**	**6,587**	**15,857**	***13,960***

(b) Shared support cost allocation

	2016 Education and engagement	2016 Access and museum operations	2016 Heritage and collections	2016 Raising funds	2016 Total
	£000	£000	£000	£000	£000
Premises and facilities	1,698	1,450	776	366	**4,290**
Finance and management	433	370	198	93	**1,094**
Marketing	187	159	85	40	**471**
Systems	157	134	72	34	**397**
Design and presentation	59	50	27	13	**149**
Governance	55	47	25	12	**139**
Other activities	19	16	8	4	**47**
Total cost 2015	**2,608**	**2,226**	**1,191**	**562**	**6,587**
Total cost 2015	***2,273***	***2,040***	***991***	***525***	***5,829***

10. NET INCOME

This is stated after charging:

	2016 £000	*2015 £000*
Depreciation	**1,586**	*1,487*
Auditor's remuneration		
Audit - Museum	**33**	*28*
Audit - subsidiary trading company	**6**	*4*
Other services	**-**	*-*
Operating lease rentals - buildings	**978**	*978*
Operating lease rentals - office equipment	**42**	*27*

Notes to the financial statements *(continued)*

11. TRADING SUBSIDIARY

The Museum has a single subsidiary company, London Transport Museum (Trading) Limited (LTMTL), having an issued share capital of £1, wholly owned by London Transport Museum Limited.

LTMTL undertakes retail operations, venue hire, commercial sponsorships and the Museum corporate membership scheme.

Following revised guidance from HMRC, the trading subsidiary's profits are now shown after Corporation Tax at the standard rate. However, LTMTL pays no tax as profits are distributed to the Museum via a Gift Aid donation. LTMTL receives a tax credit equivalent to the Corporation Tax payable on its profits, so the Museum benefits from the full value of the profit before tax.

The gross value of the Gift Aid donation for 2016 is £1.1m (2015: £1.1m).

LTMTL PROFIT AND LOSS ACCOUNT

	2016 £000	2015 £000
Turnover	**4,364**	*4,131*
Cost of operations	**(3,278)**	*(3,028)*
Gross profit	**1,086**	*1,103*
Profit from ordinary activities before taxation	**1,086**	*1,103*
Tax on ordinary activities	**(217)**	*(221)*
Profit for the year	**869**	*882*
Distribution of Gift Aid to London Transport Museum (net of tax credit)	**(869)**	*(882)*
Retained profit for the year after Gift Aid payment	**-**	-

LTMTL BALANCE SHEET

	2016 £000	2015 £000
Current assets		
Stock	**977**	*765*
Debtors	**805**	*368*
Cash	**437**	*961*
	2,219	*2,094*
Creditors		
Falling due within one year (including Gift Aid to LTM)	**(2,219)**	*(2,094)*
Net current assets	**0**	*0*
Creditors		
Falling due after one year	**-**	-
Net assets	**-**	-
Share capital and reserves		
Share capital	**-**	-
Profit and loss reserve	**-**	-
Total equity shareholder's funds	**-**	-

12. STAFF COSTS AND STAFF NUMBERS

(a) Total remuneration

	2016 £000	2015 £000
Group and Museum		
Wages and salaries (including holiday pay accrual)	**3,485**	*3,669*
Social security costs	**325**	*298*
Pension costs	**904**	*826*
Total	**4,714**	*4,793*

Notes to the financial statements *(continued)*

The Managing Director is the only paid director and received emoluments from the Museum, including salary, fees, benefits in kind and other emoluments totalling £95,053 (2015: £95,324). In addition, the Museum made contributions totalling £27,370 (2015: £25,445) to the TfL Pension Fund, a defined benefit scheme, on behalf of the Managing Director for the year.

The number of employees whose emoluments amounted to over £60,000 in the year is given below.

	Group 2016	*Group 2015*
£60,000 - £69,999	4	*3*
£70,000 - £79,999	1	*2*
£90,000 - £99,999	1	*1*

Contributions to the defined benefit pension scheme made in respect of the six higher paid employees amounted to £124,449 (2015: six employees, £120,863).

(b) Other than the Managing Director, none of the Trustees received any remuneration for their services. Reimbursements of Trustees' expenses which totalled £573 were made in the year (2015: Nil).

(c) The average number of persons (full-time equivalents) employed during the year was:

	Group 2016 FTE	Group 2015 FTE
Education and engagement	**26.5**	*24.3*
Access and museum operations	**22.6**	*21.5*
Heritage and collections	**12.1**	*10.0*
Activities to generate funds	**17.9**	*17.9*
Support functions		
Premises and facilities	**1.0**	*3.5*
Finance and management	**6.5**	*8.0*
Marketing	**3.0**	*1.5*
Systems	**3.0**	*2.5*
Design and presentation	**1.0**	*1.0*
Total	**93.6**	***90.2***
Plus seconded staff	**0.0**	*0.1*

(d) As at 31 March, Museum staff had earned entitlement to annual leave not yet taken equivalent to an estimated total value of £102,000 (2015: £98,000). Under SORP 2015 the Museum is required to recognise this liability and it has therefore been incorporated in the Statement of Financial Activities.

(e) The key management personnel of the Museum comprise the Trustees and the Senior Management Team (see page 73). The total employee benefits of the key management personnel was £446,000. This includes:

- An apportionment of the employee benefits of Geoff Rowe and Janette Palmer who each spent half of the year covering the vacant position of Assistant Director: Visitor Services.
- Employee benefits for both Claire Williamson who was on maternity leave throughout the year, and Wesley Salton who was maternity cover.
- An intercompany charge made by another TfL group company for David Burns who was on attachment from TfL.

13. TANGIBLE FIXED ASSETS

	Property and buildings £000	Plant and equipment £000	Total £000
Group and Museum cost			
At 1 April 2015	*33,138*	*1,097*	***34,235***
Additions	347	185	**532**
At 31 March 2016	**33,485**	**1,282**	**34,767**
Accumulated depreciation			
At 1 April 2015	*(8,456)*	*(682)*	**(9,138)**
Charge for the year	(1,457)	(129)	**(1,586)**
At 31 March 2016	**(9,913)**	**(811)**	**(10,724)**
Net book value at 31 March 2016	**23,572**	**471**	**24,043**
Net book value at 31 March 2015	*24,682*	*415*	***25,097***

Notes to the financial statements *(continued)*

14. DEBTORS

	2016 Group	*2015 Group*	2016 Museum	*2015 Museum*
	£000	*£000*	£000	*£000*
Trade debtors	751	*338*	112	-
Sundry debtors	2	-	2	-
TfL Group debtors	-	*1*	-	-
Prepayments and accrued income	1,036	*701*	870	*672*
Taxation	42	*31*	92	*83*
Amounts owed by subsidiary undertakings	-	-	1,150	*1,186*
Total	**1,831**	***1,071***	**2,226**	***1,941***

15. CASH

	2016 Group	*2015 Group*	2016 Museum	*2015 Museum*
	£000	*£000*	£000	*£000*
Held in current accounts and in hand	3,899	*4,432*	3,463	*3,908*
Held in short-term deposit accounts	2,900	*2,901*	2,900	*2,464*
Total	**6,799**	*7,333*	**6,363**	***6,372***

The majority of the cash balance is held to meet future expenditure relating to the Museum's restricted and designated reserves (with the exception of the Capital Fund which is represented by the value of the Museum's fixed assets).

16. CREDITORS

(a) Creditors: amounts falling due within one year

	2016 Group	*2015 Group*	2016 Museum	*2015 Museum*
	£000	*£000*	£000	*£000*
Trade creditors	369	*402*	296	*366*
TfL Group creditors	-	*83*	-	-
Accruals and deferred income	1,762	*2,004*	817	*1,267*
Total	**2,131**	***2,489***	**1,113**	***1,633***

17. STATEMENT OF GROUP FUNDS

(a) The movements on funds are as follows:

Group and Museum	1 April 2015	Income	Expenditure	Transfers	31 March 2016
	£000's	£000	£000	£000	£000
Unrestricted funds					
Designated funds					
Capital Fund	*25,097*	-	(1,586)	532	**24,043**
Museum Strategic Development Fund	*2,000*	-	-	1,500	**3,500**
Future Exhibitions and Education Fund	*500*	-	-	-	**500**
Museum Asset Development Fund	*2000*	-	-	(441)	**1,559**
Total designated funds	***29,597***	**-**	**(1,586)**	**1,591**	**29,602**
General funds	*1,312*	14,897	(13,507)	(1,613)	**1,089**
Total unrestricted funds	***30,909***	**14,897**	**(15,093)**	**(22)**	**30,691**
Restricted funds					
Luke Rees-Pulley Charitable Trust	*49*	47	(17)	(3)	**76**
Met 353 Carriage	*39*	-	-	-	**39**
Arts Council England	-	317	(384)	67	**-**
Battle Bus	*17*	111	(138)	10	**-**
Collections development	*787*	-	(134)	-	**653**
Leyland buses appeal	-	38	(38)	-	**-**
HLF Johnston journeys	*14*	24	(38)	-	**-**
Inspire Engineering	*(39)*	-	-	39	**-**
DCMS/Wolfson	-	106	(15)	(91)	**-**
Other miscellaneous restricted funds	*1*	60	(1)	-	**60**
Total restricted funds	***868***	**703**	**(765)**	**22**	**828**
Total funds	***31,777***	**15,600**	**(15,858)**	**-**	**31,519**

Notes to the financial statements *(continued)*

Designated funds

The Capital Fund represents the net book value of the Museum's tangible fixed assets. It is written down by the value of depreciation, and increased by any additions to the Museum's fixed assets.

Capital improvements to the Museum's premises and facilities totalling £0.53m were added to the Capital Fund this year. These were met by transfers from the Museum Development Fund and the restricted DCMS/Wolfson Galleries Improvement Fund (£0.09m).

The Trustees have designated a further £1.5m to the Museum Strategic Development Fund this year to support the strategic aspirations of the 'Distributed Museum' and to help build reserve in advance of the next major iteration of the Museum. Based on past experience, the Museum requires significant reinvestment every 10-15 years and the last refurbishment was in 2005-2007. For more information, see the Financial Review section.

The Museum's learning and collections-based activities were adequately funded this year so there were no calls on the Future Exhibitions and Education Fund.

Restricted funds

The Collections Development Fund was established in 2012/13 following the auction of 400 surplus posters. The Fund can only be used for acquisitions and conservation. The Fund met the balance of the cost of the Sutcliffe motor bus acquisition this year, after the Leyland buses appeal raised £0.04m. Restoration work on Waterloo & City line car number 61, and other conservation work was also charged against this fund.

Arts Council England provide support for a number of initiatives including some which require match funding from the Museum's trading company. A transfer from general funds was made to reflect this. A small shortfall on the Battle Bus project was similarly made up by a transfer from general funds.

The Luke Rees-Pulley Charitable Trust supports a number of Museum initiatives including family resource packs, play activities for children, a learning officer and an apprentice.

The Met 353 Carriage Fund will be used for any future conservation work on the Museum's restored 1908 carriage.

The Inspire Engineering programme was previously funded by a restricted grant but is now supported by a commercial sponsorship agreement with Siemens. Accordingly, although the programme will continue, the restricted fund has been closed.

(b) Analysis of group net assets between funds

	Unrestricted funds	Restricted funds	Total
	£000	£000	£000
Fund balances as at 31 March 2016 represented by			
Fixed assets	24,043	-	**24,043**
Current assets	8,705	902	**9,607**
Current liabilities	(2,057)	(74)	**(2,131)**
Net current assets	30,691	828	**31,519**
Total net assets at 31 March 2015	*31,007*	*868*	***31,875***

18. OPERATING LEASES

At 31 March 2015 the Museum has annual commitments as follows:

Expiry date	**2015**	*2015*	**2016**	***2015***
	Land and Buildings	*Land and Buildings*	**Other**	***Other***
	£000	***£000***	**£000**	***£000***
Between 2 and 5 Years	**-**	-	**42**	*27*
Over 5 Years	**978**	*978*	**-**	-

19. CALLED UP SHARE CAPITAL

	2016	***2015***
	£	***£***
Authorised		
1 ordinary share of £1	1	*1*
Alloted, issued and fully paid up		
1 ordinary share of £1	1	*1*

As permitted by FRS 102 and SORP 2015, because no new share equity has been issued, the Museum has not produced a separate statement of changes in equity for the reporting period.

Notes to the financial statements *(continued)*

20. PENSIONS

Background

The Museum offers retirement plans to its employees. The majority of the Museum's staff are members of the Public Sector Section of the TfL Pension Fund, which is a final salary scheme established under trust. Benefits are based on employees' length of service and final pensionable pay. The Fund's Trustee is the TfL Trustee Company Limited, a wholly owned subsidiary of Transport for London (TfL). Under the rules of the Fund, its 18 trustee directors are nominated in equal numbers by Transport for London and on behalf of the Fund's membership.

Every three years, the TfL Pension Fund's Actuary makes valuations and recommends the level of contributions to be made by the participating employers to ensure long-term solvency of the Fund. The latest formal funding valuation of the Fund was carried out as at 31 March 2015 by the Actuary, a partner of consulting actuaries Towers Watson, using the projected unit method, and reported a funding deficit for the Public Sector Section of £395 million.

A revised Schedule of Contributions was agreed between the Trustee and the employers following the 2015 valuation of the TfL Pension Fund. For the Public Sector Section, employers' contributions for the period from 1 April 2016 until 31 March 2022 will continue to be 31.0%, with an additional lump sum payment due in March 2018.

Accounting

The Museum's ultimate parent, Transport for London, and the Museum's fellow subsidiaries participate in the Public Sector Section of the TfL Pension Fund. Because the Museum is unable to identify its share of the underlying assets and liabilities on a consistent and reasonable basis, as permitted by FRS 102, the Museum treats contributions to the Public Sector Section as if they were contributions to a defined contribution plan. The Museum's contributions to the Fund of £912,000 (2015: £804,000) have been charged to the income and expenditure account.

Other pension schemes

Pension contributions of £16,000 have been made to the London Pensions Fund Authority for member of staff who joined the Museum from a TfL group company. Four members of staff make AVCs to Standard Life. The employer contribution to this scheme is £4,000.

21. RELATED AND CONNECTED PARTY TRANSACTIONS

Transport for London

London Transport Museum Limited is a charitable subsidiary company of Transport Trading Limited (TTL), a Transport for London Group company. TfL provides financial assistance to the Museum in the form of grants for Museum operations and, in addition, certain divisions of TfL provide financial support to the Safety and Citizenship Programme and other Museum activities as agreed on a project by project basis.

The Museum receives benefit from the activities of TfL Group functions such as Finance, Human Resources, Internal Audit and Payroll. Where management fees are levied upon the Museum by TfL and TTL for services provided these are applied at the same rates as for all other TfL Group companies. Where services are donated by TfL which are reasonably quantifiable and measurable, these are included in the Statement of Financial Activities at their estimated gross value and an equivalent amount is included as income under the appropriate heading.

A summary of transactions with TfL which are included in the Financial Statements is given below:

Related party transactions with TfL	**2016 Income**	**2016 Expenditure**	**2015 Income**	**2015 Expenditure**
	£000	**£000**	**£000**	**£000**
Core grant and capital grant	**5,305**	**-**	*5,544*	*-*
Other income	**1,743**	**-**	*1,613*	*-*
Group services supplied	**-**	**324**	*-*	*152*
Group services donated	**275**	**275**	*271*	*271*

As at 31 March 2016, no amounts remained outstanding in relation to the above transactions (2015:Nil).

Notes to the financial statements *(continued)*

In addition to the above amounts, a number of other arrangements exist between LTM and TfL for which no financial entries are made:

TfL undertakes some maintenance work on LTM's operational heritage vehicles and provides the Acton Depot site free of charge to the Museum. The Depot is occasionally used by London Underground for road/rail access and vehicle shunting.

LTM is also given occasional access to TfL property including non-operational stations for Hidden London tours. The Museum has been allowed to install poster frames at a number of London Underground stations and riverboat piers which are used for Museum marketing purposes.

Museum staff are provided with passes that allow free or discounted travel on TfL services for themselves and a nominee. TfL also offer Museum Trustees and non-executive Directors of LTMTL restricted travel privileges.

TfL Group companies receive discounts on the hire of Museum facilities, and all TfL staff receive free entry to the Museum and discounts in the Museum shop.

Other related parties

Although some Museum Trustees and senior managers may act as Trustees of other charities, the Museum does not direct, and is not under the direction of, the trustees of any other charity and therefore these charities are not considered to be related parties.

There are no other related party transactions.

22. CHARITY INFORMATION

The Museum is a company and registered charity incorporated and domiciled in the United Kingdom.
The Museum's charity registration number is 1123122 and its company registration number is 6495761.
The address of the Museum's registered office is Windsor House, 42-50 Victoria Street, London, SW1H 0TL.

The Museum is a wholly owned subsidiary undertaking of Transport Trading Limited. For more information about the administration and organisation of the Museum see the section 'Structure, governance and management' in the Annual Report of the Trustees.

London Transport Museum Limited is a public benefit entity. LTM's Memorandum of Association states 'the property and funds of the Charity must be used only for promoting the Objects and no dividends shall be paid to the Member'.

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ltmuseum.co.uk



















SUPPORT US

Our vision is to be the world's leading museum of urban transport and a place for everyone to come to understand the story of London's journey. To do this we need your support to help us preserve and secure the collection, to inspire audiences, and to help educate young people across London.

LEYLAND BUSES APPEAL

Help us safeguard the future of three rare motorbus survivors from a bygone age: the 1908 London Central X2 type, the 1914 LNWR Torpedo charabanc and the 1924 LB5 Chocolate Express.

Donate online at **ltmuseum.co.uk/support-us**

PATRONS CIRCLE

The Patrons Circle is a group of like-minded people who care about the Museum's heritage and educational work. Patrons enjoy exclusive tours, locomotive footplate and cab rides, and other special events not usually available to the public.

To become a Patron, visit our website
ltmuseum.co.uk/support-us
Email: supportus@ltmuseum.co.uk
Telephone: +44 (0)20 7565 7451

VOLUNTEER

Volunteers make a huge contribution to London Transport Museum, greeting visitors, leading tours, helping with conservation projects and much more.
To get involved, visit **ltmuseum.co.uk/support-us/get-involved/volunteering**
Email: opportunities@ltmuseum.co.uk
Tel: +44 (0)20 7565 7264

VISIT US

The Museum at Covent Garden is open seven days a week and has a programme of exciting events all year round.

For more details, go to **ltmuseum.co.uk/visit**

KEEP IN TOUCH

Sign up to our newsletter for the latest information on Museum events and offers at **ltmuseum.co.uk/enews**. You can also find us on Facebook and Twitter.

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